

BEFORE THE FEDERAL MARITIME COMMISSION

MEDITERRANEAN SHIPPING COMPANY -
INVESTIGATION FOR COMPLIANCE WITH
§§ 41104(a) AND 41102 OF DEMURRAGE OR
DETENTION CHARGES UNDER THE CHARGE
COMPLAINT PROCEDURES OF 46 U.S.C. § 41310

DOCKET NO. CC-001

**RESPONSE OF MSC MEDITERRANEAN SHIPPING COMPANY S.A.
TO ORDER TO SHOW CAUSE**

“Public Version – Confidential Material Excluded”

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**RESPONSE OF MSC MEDITERRANEAN SHIPPING COMPANY S.A.
TO ORDER TO SHOW CAUSE**

Pursuant to 46 CFR § 502.91 Respondent, MSC Mediterranean Shipping Company S.A. (“MSC” or “Respondent”), hereby replies to the Federal Maritime Commission’s (the “Commission”) Order Directing Respondent to Show Cause as to why:

1. The Commission should not find that Respondent’s action in assessing a congestion surcharge with respect to bill of lading no MEDUI0745188 constitutes a violation of 46 U.S.C. § 41102(c) and 41104(a)(14);
2. Why the Commission should not promptly order the refund of charges paid by SOFi Paper Products with respect to charges that do not comply with § 41102 and § 41104(a)(14), as provided under § 41310(c);
3. Why the Commission should not impose a civil penalty, under §§ 41310(d) and 41107 upon such finding of noncompliance with § 41102 and § 41104(a)(14); and provided that, in such event, Mediterranean Shipping Company, S.A. shall have the opportunity for a hearing prior to assessment of a civil penalty, as provided under § 41109(a).

Respondent herewith incorporates and repeats in its entirety its Petition to Dismiss the Charge Complaint and the Order to Show Cause (“Petition” - Dkts. 4 and 5) even where

not fully referenced herewith.¹

PRELIMINARY STATEMENT

Respondent submits that the Commission should not pursue any further action with regards to the Charge Complaint because MSC did not bill the congestion surcharge to SOFi Paper Products LLC (“SOFi” or “Claimant”) and did not receive payment of the congestion surcharge from SOFi. Accordingly, SOFi lacks standing to seek a refund from MSC.

Respondent further submits that this proceeding is improper as a matter of law:

First, because the Order to Show Cause procedure for dealing with charge complaints was not adopted in accordance with applicable law.

Second, the procedure was not in force at the time the charge complaint was filed and is being improperly applied retroactively in this proceeding.

Third, the use of the Order to Show Cause improperly shifts the burden of proof to MSC and otherwise violates the due process rights of MSC.

In addition, any further action by the Commission in relation to the congestion surcharge would be without basis because MSC did not violate the Shipping Act. The Commission lacks authority over the level of charges. But even if the Commission had authority to review the level of charges (*quod non*), MSC’s charge was reasonable and did not violate 46 U.S.C. § 41102(c) or 41104(a)(14) given the clarity of the applicable tariff rule and the undisputed existence of congestion.

Finally, further action is unwarranted because MSC voluntarily refunded to SOFi, the full the amount claimed that was subject to Claimant’s Charge Complaint, and therefore this entire

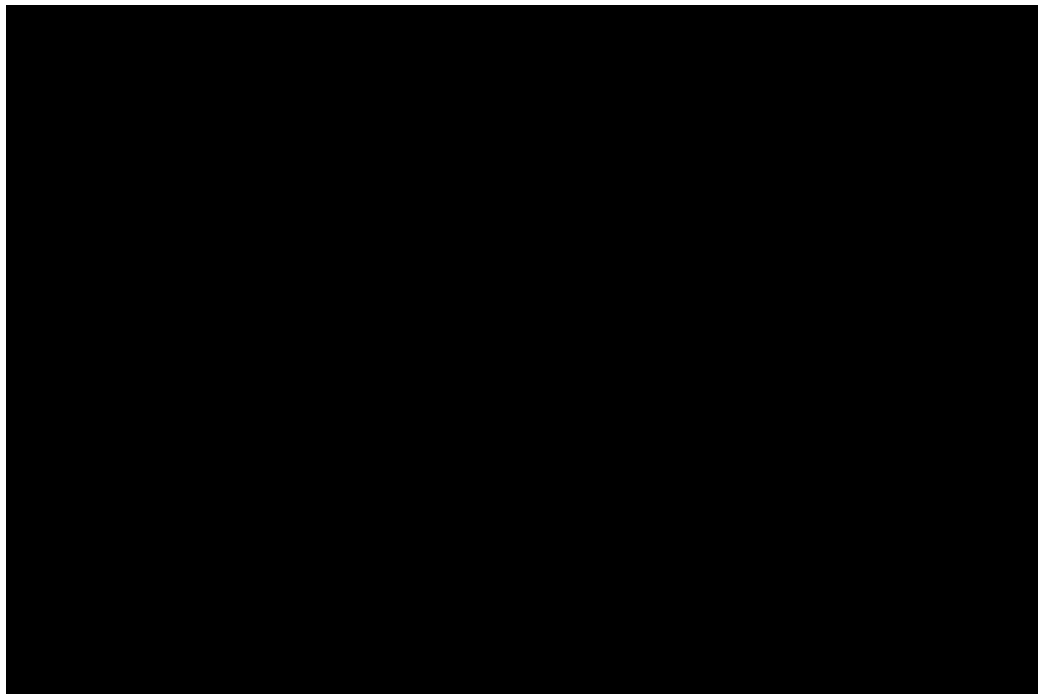
¹ Copy of the Petition to Dismiss and of the Declaration of Wook Chung in support, but with the exclusion of the Exhibits to the Declaration, are enclosed to this Memorandum as Appendix I.

proceeding is moot. The same result is obtained if the refund is viewed as a settlement rather than a refund.

MEMORANDUM OF LAW IN SUPPORT OF PETITION TO DISMISS

STATEMENT OF FACTS

1. On or about May 1, 2022, MSC and Kingwood Logistics LTD dba Kingwood Ocean Container Line dba Dachser Ocean Container Line (“Dachser”) entered into Ocean Service Agreement Number 22-251 TPC. (“Ocean Agreement”)
2. On or about May 27, 2022 MSC and Dachser entered into Amendment 5 to Ocean Service Agreement Number 22-251 TPC. (“Ocean Agreement”) (A true and correct copy of the Ocean Agreement is attached herewith as Exhibit A)”.)
3. The Ocean Agreement involved the ocean transportation of certain commodities from the Origin(s) to the Destination(s) specified into the Appendix Rates there incorporated. (Exhibit A - Ocean Agreement).
4. The Ocean Agreement provides in relevant portions of Clause 5 “Rate and Charges” that:





5. The Ocean Agreement not only recognized the applicability of surcharges at clause 5.6 but also enclosed an excel document including rates information (Rates Agreement No. R83622040001478 SEA-US/CAN) (“Rates Table”). The Rates Table, in its Remarks Section, stated “Subject to congestion surcharge (CGS) per tariff.”
6. On or about June 15, 2021, MSC filed Tariff Rule Detail (MESU-032) on Congestion Surcharge 10-AO. (“Rule Detail”)
7. The Rule Detail was modified to drop one of the applicable region/route and refiled on or about May 4, 2022 (A true and correct copy of the Rule Detail is attached herewith as Exhibit B).
8. The Rule Detail provided for a congestion surcharge for cargo transported by MSC from the Far East to all ports in the United States under MSC’s Sea Waybill and Bill of Lading Terms and Conditions. (Exhibit B - Rule Detail)
9. On or about May 23, 2022, as detailed in MSC’s Booking Confirmation Reference EBKG03256105, Dachser booked with MSC the transportation of certain cargo from Jakarta/Java/Singapore to Seattle pursuant to the Ocean Agreement. (“Booking Confirmation”) (A true and correct copy of the Booking Confirmation is attached herewith as Exhibit C).
10. On or about June 5, 2022, MSC issued Sea Waybill MEDUI0745188 for the transportation of the cargo from Jakarta, Indonesia to Seattle WA, USA on board of the *M/V INES*, voyage No. 225A (“Sea Waybill”). (A true and correct copy of the Sea Waybill is attached herewith as Exhibit D).

11. The Sea Waybill incorporates the Ocean Agreement on its face and involves the transportation of cargo from the Far East to the United States subject to the congestion surcharge described in the Rule Detail. (Exhibit A - Ocean Agreement; Exhibit D - Sea Waybill; Exhibit B - Rule Detail).
12. On or about July 14, 2022, MSC issued an Arrival Notice for the vessel and cargo transported under the Sea Waybill. ("arrival Notice") (A true and correct copy of the Arrival Notice is attached herewith as Exhibit E).
13. The Arrival Notice includes a reference to the congestion surcharge to Dachser (Exhibit E - Arrival Notice).
14. Prior to July 18, 2022, MSC issued freight invoice No. MEDUI0745788 to Dachser which included the line item: "* Congestion Surcharge [no eMC]" for the amount of USD 1,000. ("MSC Freight Invoice") (A true and correct copy of the MSC Freight Invoice is attached herewith as Exhibit F)
15. On or about July 18, 2022 Dachser issued Invoice No 3856026742 for the congestion surcharge to a company called Jokki Labs LLC. ("Dachser Invoice") (A true and correct copy of Dachser Invoice is attached herewith as Exhibit G). It is unknown what relationship Jokki Labs LLC has to SOFi.
16. On or about August 8, 2022, Dachser paid the Freight Invoice without objection.
17. MSC had no contract with SOFi, and SOFi was never invoiced by MSC. Moreover, SOFi's name was never revealed in any of the documentation related to the transportation of the cargo under the Ocean Agreement.

18. On or about August 11, 2022, MSC (USA) Inc., received a Charge Complaint number 2022004 (“Claim”) filed by SOFi involving Bill of Lading MEDUI0745188, dated July 14, 2022. (Appendix I - Chung Declaration ¶ 4).
19. MSC retained the law firm of Montgomery McCracken Walker Rhoads LLP at its attorneys (“MSC Attorneys”) to contact Claimant, review the Claim, and try to amicably resolve the Claim, if deemed appropriate. (Appendix I - Chung Declaration ¶ 5).
20. Between September of 2022 and October of 2022, Mr. Leeds, President of SOFi (“Leeds”) and Wook Chung, one of the MSC Attorneys (“Chung”), exchanged several emails and engaged in additional telephone communications to discuss the amicable resolution of the Claim that involved the refund of a surcharge SOFi allegedly paid to its freight forwarder. (Appendix I - Chung Declaration ¶ 6).
21. With email dated September 7, 2022 an FMC Officer extended MSC’s time to respond to the Charge Complaint and wrote in the email the following: “As you are no doubt aware, we are still formalizing the procedures for charge complaints, but at this time, we treating it as an informal investigation.” (A true and correct copy of the September 7 email from the FMC to Chung is attached herewith as Exhibit H).
22. On September 23, 2022, Mr. Leeds sent an email to counsel for MSC with attached a copy of the Dachser Invoice and of the Arrival Notice. Despite direct question by counsel for MSC, Mr. Leeds offered no explanation as to the relationship between SOFi and Dachser or Jokki. (A true and correct copy of the email exchange dated Sept. 22-23, 2022 is attached herewith as Exhibit I).
23. On or about October 6, 2022, with the authority from MSC, Chung sent an email to Mr. Leeds offering a \$350.00 refund in full settlement of the Claim. (Appendix I - Chung

Declaration ¶ 7; a true and correct copy of the email dated October 6, 2022 is attached herewith as Exhibit J).

24. On or about October 7, 2022, Mr. Leeds replied via an email to Chung stating that “*we would settle for the full amount of \$1,000.*” (Appendix I - Chung Declaration ¶ 8; Exhibit J).
25. On or about October 10 and 11, 2022, MSC Attorneys provided certain supporting documents and explanations about the charges at issue. In the same email to the FMC Officer, MSC Attorneys asked to submit certain confidential service contract documents via separate email and without copying in Claimant. (A true and correct copy of the email exchange dated Oct. 10, 2022 is attached herewith as Exhibit K).
26. On or about October 19, 2022, SOFi asked the FMC for an update on the Claim (A true and correct copy of the email exchange dated Oct. 10-20, 2022 is attached herewith as Exhibit L).
27. On or about October 20, 2022, the FMC Officer replied that “I will be following up with any additional information request for MSC shortly. I appreciate your patience as we are working out the details of this new process.” (Exhibit L).
28. MSC Attorneys never received any such request for information by the FMC Officer.
29. On or about November 14, 2022, the FMC’s regional officer in charge of the Claim sent a notice to MSC stating that the “*parties are encouraged to continue efforts to settle disputes privately and may request that the FMC discontinue the charge complaint process at any time, by providing proof of refund, cancellation of the disputed invoice, or some other documentation of the settlement agreement to the Office of Enforcement.*” (Appendix I - Chung Declaration ¶ 9) (emphasis supplied).

30. After discussing the circumstances of the Claim with MSC, and recognizing a need for an economic resolution of this small claim, Chung sent an email on November 18, 2022, to Mr. Leeds accepting his offer and confirming that MSC would “settle for the full amount of \$1000” according to Claimant’s counteroffer that Claimant never withdrew. (Appendix I - Chung Declaration ¶ 10; A true and correct copy of the email exchange dated Nov. 18-22, 2022 is attached herewith as Exhibit M). MSC took steps to perform the necessary paperwork to pay out the refund.
31. On or about November 22, 2022, after MSC had already agreed to Claimant’s settlement offer by agreeing to make a full refund, Mr. Leeds replied to Chung stating that “*given our company time spent on this and time without the money, I feel it is appropriate to settle for an additional \$500.*” (Appendix I - Chung Declaration ¶ 11; Exhibit M). The email did not have an invoice for the \$500 attached, nor did it clarify how the \$500 was calculated other than stating that the new and additional claim was for “*time without the money*”. The \$500 did not represent a claimed overpayment of the congestion surcharge.
32. On or about November 23, 2022, and November 28, 2022, MSC Attorneys notified the FMC’s regional officer in charge of the Claim that MSC accepted to fully refund the charge pursuant to *Claimant’s own demands*. The notice also specified that Claimant was now seeking additional monies. (Appendix I - Chung Declaration ¶ 12; A true and correct copy of the email exchange dated Nov. 23-28, 2022 is attached herewith as Exhibit N).
33. On or about November 29, 2022, the FMC officer, replied that he was forwarding [MSC’s] emails to the Office of Enforcement at BOE@fmc.com because the “case is currently pending there.” (Appendix I - Chung Declaration ¶ 13; A true and correct copy of the email communication dated Nov. 29, 2022 is attached herewith as Exhibit O).

34. On or about February 3, 2023, FMC served the Order on MSC. (Appendix I - Chung Declaration ¶ 14)
35. On or about February 13, 2023, MSC, through its counsel, mailed the check for the full refund of \$1,000 to the SOFi's mailing address listed with the Florida Secretary of State, and copies were sent to two other addresses also listed on the Secretary of State's website. (Appendix I - Chung Declaration ¶ 15; A true and correct copy of the check and of the mailing confirmation is attached herewith as Exhibit P).
36. The original check addressed to the formal "mailing address" of SOFi, as listed by the Secretary of State of Florida, was confirmed received by Claimant as per FedEx's delivery record. (Appendix I - Chung Declaration ¶ 16; A true and correct copy of delivery receipt is attached herewith as Exhibit Q).

LAW AND ARGUMENT

POINT I

THE COMMISSION HAS ISSUED AN ORDER TO SHOW CAUSE AGAINST THE WRONG PARTY

A. The Party Responsible For Billing Claimant With The Congestion Surcharge Was The NVO, Dachser USA Air & Sea Logistics, Inc.

The Commission in its Order to Show Cause ("Order") dated February 2, 2022, states that the proceeding is "based upon information submitted by Claimant SOFi, and that, based on Claimant's allegations, the Bureau of Office Enforcement makes the following allegations against MSC:

1. The Commission received a complaint from SOFi Paper Products (SOFi or Complainant) under 46 U.S.C. Sec. 41310, as a party *billed or assessed for certain charges by MSC*. (emphasis supplied).

2. Pursuant to bill of lading no. MEDU10745188 dated July 14, 2022 (*sic*), *Respondent assessed congestion surcharge in the amount of \$1000.00 to SOFi.* (emphasis supplied).

3. Respondent claimed to have assessed this charge in accordance with its tariff rule MSU-032, Rule 10-AO, dated May 4, 2022, pursuant to Descartes System Group Inc. at www.descartes.com.

4. *As the party billed for the congestion surcharge on a pass-through basis SOFi requested justification for the charge.* (emphasis supplied).

In fact, MSC did not bill SOFi for the congestion surcharge in the amount of \$1,000. As was well explained in MSC's counsel's emails to Brandon Leeds of SOFi, dated September 27, 28 and 29, 2022, (True and correct copies of the email communications are attached herewith as Exhibits R, S, and T), MSC's "customer" was Dachser, and MSC sent both the announcements of the Congestion Surcharge starting in August , 2021, as well as its invoice for the \$1000 surcharge to Dachser.

This is reflected in the on October 10, 2020 email from MSC's counsel to Mr. Scheirman of the FMC, with copy to SOFi, that the parties were unable to resolve the dispute. (Exhibit K). MSC's counsel attached a copy of the relevant documents to that email for the FMC's files and noted that:

We [MSC] tried to explain to SOFI/Mr. Leeds that MSC had duly and timely announced the CGS [congestion service charge] in 2021 and sent the same to Dachser Air & Sea Logistics ("Dachser"), an NVOCC that was the carrier of record with SOFI as Dachser direct customer. Notwithstanding the situation, to avoid the time and expenses of the FMC proceeding, we offered a partial refund to SOFI to settle this matter. However, SOFI rejected the offer and responded that they "would settle for the full amount of \$1000. (emphasis supplied).

MSC's counsel concluded his correspondence to the FMC by stating: "While we are unclear about Dachser's billing practices, I heard from SOFi that its objection to the [congestion]

surcharge is more on the timing, not the bill itself - the fact that the bill was sent to SOFi (by Dachser) at the last minute after the shipment had arrived". (Exhibit K). The Commission's Order ignores this statement.

What cannot be disputed for purposes of this Response to the Order are the applicable shipping documents for the subject shipment.

MSC's Sea Wabill number MEDU10745188, which in fact is dated June 5, 2022, identifies the shipper as "PT. DACHSER INDONESIA" and the consignee as "DACHSER USA", followed by the detail in the same box stating, "Air & Sea Logistics Inc., Main Office 8861 NW 18th Terrace, Suite 220". The Notify party is also 'DACHSER USA'. No forwarding agent is listed. No mention of SOFi is made on the face or the rider to the bill of lading. (Exhibit D). The bill of lading states it is "non-negotiable".

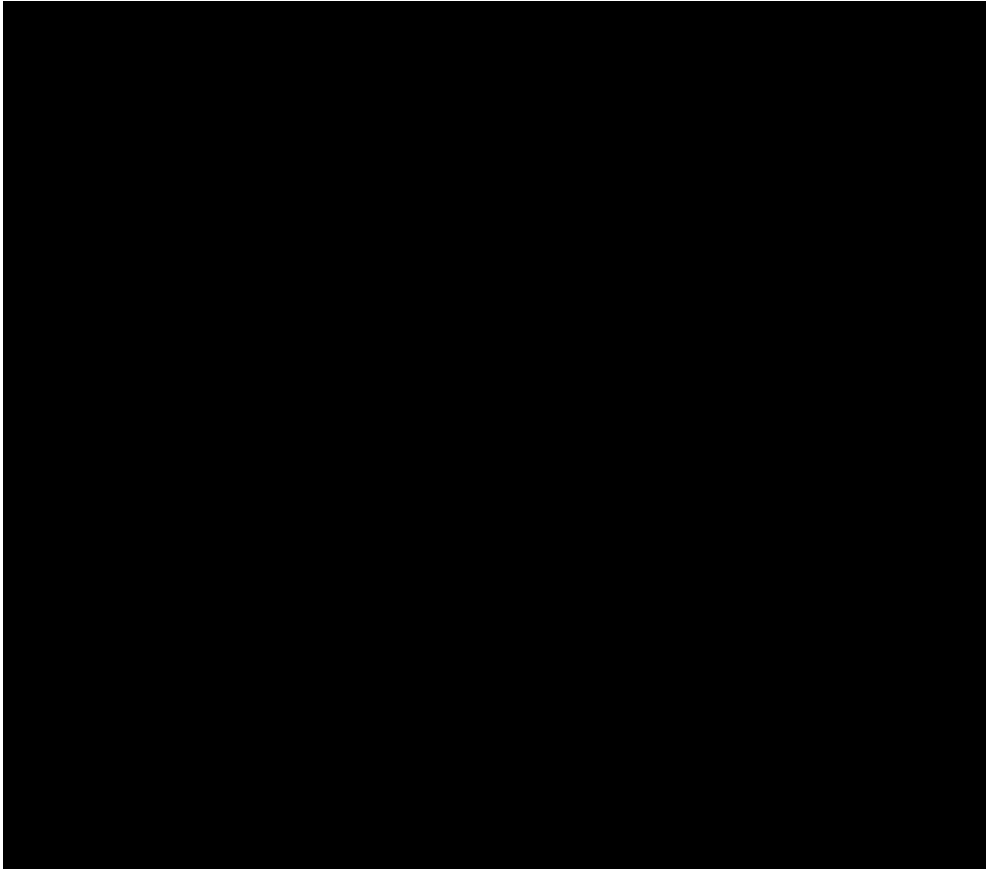
The Arrival Notice by MSC for the subject shipment (Exhibit E) was printed on July 14, 2022, and advised that the vessel would be arriving on July 20, 2022 at the port of Seattle. The Arrival Notice is addressed by MSC to the Shipper, "Pt. Dachser Indonesia", to the Consignee, "Dachser USA Air and Sea Logistics, Inc," and to the Notify party, "Dachser USA Air and Sea Logistics Inc". As with all the other shipping documents, there is no mention of SOFi. The bottom right-hand side of the Arrival Notice notes that there is "Collect" "freight and charges" of \$1,000 due for "Congestion Surcharge [no eMC]. (Exhibit E).

The MSC Freight Invoice dated July 20, 2022, (the day of the vessel's arrival at Seattle) is addressed to DACHSER USA AIR & LOGISTICS INC" in Miami. (Exhibit F). The document provides at the bottom under "FREIGHT AND CHARGES" "* Congestion Surcharge [No eMC]...\$1000." The code "c" signifies that the charge was "collect".

SOFi's name does not appear anywhere in the Bill of Lading, the Arrival Notice or the MSC Freight Invoice.

Dachser USA paid the congestion surcharge to MSC on August 8, 2022. No funds were ever received by MSC from SOFi.

The shipment was governed by Ocean Agreement No. 22-251, dated May 1, 2022 ("Agreement") between MSC and "KINGWOOD LOGISTICS LTD DBA KINGWOOD OCEAN CONTAINER LINE DBA DACHSER OCEAN CONTAINER LINE" as "SHIPPER". (Exhibit A). The Ocean Agreement states that the "Shipper shall be under a continuing obligation to comply with all FMC requirements...". (Exhibit A, Par. 6). Furthermore, the terms of MSC's Sea Waybill are incorporated into the agreement by reference. Paragraph 5.5 of the Agreement provides that,



MSC does not know if Dachser has a tariff or agreement with SOFi which provides for congestion surcharge, or whether Dachser ever provided any notice to SOFi of MSC's announcement of congestion surcharge nearly a year earlier. Furthermore, MSC does not know whether SOFi ever objected to Dachser about congestion charges.

B. Dachser Is A Shipper Vis-à-Vis MSC And A Carrier Vis-à-vis SOFi

The Shipping Act defines an NVOCC as “a common carrier that (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. §40102(17). The Shipping Act also defines a “shipper” as an NVOCC, 46 U.S.C. §40102(23)(E). There is no dispute that Dachser is an NVOCC.

Dachser was the “consignee” on the MSC bill of lading (Exhibit D), and was the party to whom delivery was required under a non-negotiable bill of lading. (U.S. Bills of Lading Act, 49 U.S. Code § 80110(b)(2)). This is further evidence that Dachser acted as a “shipper” because the Shipping Act defines “the person to whom delivery is to be made” as a “shipper.” 46 U.S.C. §40102(22)(C). Thus, there is no question in this case that Dachser acted as a shipper in its relationship with MSC and did not operate the vessel *M/V MSC INES* by which the transportation of SOFi's goods was performed.

Only the party who paid the charge has standing to challenge the charge. *See Gov't of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 842 (ALJ, Admin. Final 1990), holding that Shipping Act “has been deemed to require rejection of reparations claims by persons who . . . claim reparations by arguing that the direct payor passed the carrier's charges on to them”); *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B. 308 (1934); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979)(“the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge”).

In the case of *In re Vehicle Carrier Services*, 2019 WL 5419475, the Commission stated that a respondent cannot rely on a claimant's pass-on theory to avoid liability for reparations. This is a corollary to the direct purchaser rule in overcharge cases. Under the direct purchaser rule, only the party who actually paid the carrier can sue for reparations for an overcharge, not indirect purchasers further down the chain. *Id.* By the same token, a respondent cannot rely on the fact that a claimant passed on charges as a defense to an overcharge claim. *Id.* Under the direct purchaser rule, "parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser." *Gov't. of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894, 902, 2002 FMC LEXIS 16, *4 (ALJ 2002), admin. final, 2002 FMC LEXIS 25 (FMC 2002). Page 12

The FMC, in *In re Vehicle Carriers Services*, *supra* at 11, went on to say:

In the 80 years since the Shipping Board held that a respondent could not rely on a pass-on theory to avoid liability to a Claimant for reparations, The Commission has repeatedly found that a Claimant cannot rely on a pass-on theory to recover reparations for overcharges. In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations.

The fact that Dachser's invoice to SOFi tries to phrase the surcharge as a pass- though is not acceptable to this Commission by its own rulings.

C. MSC Is Not The Appropriate Target For The Commission's Investigation

The Order states that SOFi was "billed for the congestion surcharge on a pass-through basis". (Order, ¶12). As already stated in the preceding section, the Commission has repeatedly found that a Claimant cannot rely on a pass-on theory to recover reparations for overcharges, and in numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations.

The FMC ignores that Dachser was a common carrier, and was under its agreement with MSC to remain [REDACTED] (Exhibit A). It was in its capacity as common carrier that Dachser “passed on” (to use this Commission’s language) the congestion surcharge to SOFi. But the fact is that Dachser paid MSC directly for the charge based upon the invoice sent only to Dachser, (Exhibit E), and Dachser explicitly instructed SOFi to pay Dachser on its invoice. (Exhibit G).

The fundamental point in this proceeding is that Dachser was under no obligation to pass MSC’s surcharge onto SOFi, and indeed, since Dachser neither owned nor operated any vessels, it incurred no congestion expenses. Therefore, it had no basis to bill SOFi for a congestion surcharge. If there was a problem with MSC’s congestion surcharge, it is Dachser as the “shipper” to MSC who should have lodged the complaint; however, it has not done so. Dachser was in the best and last position to avoid SOFi from being billed for a congestion surcharge.

The fundamental point in this proceeding is that while Dachser had the contractual obligation to pay certain rates to MSC, Dachser had its own discretion and contractual arrangement to charge its customers, including SOFi. Dachser was under no obligation to pass MSC’s surcharge onto SOFi. Since Dachser neither owned nor operated any vessels, it incurred no congestion expenses. Therefore, it had no basis to bill SOFi for a congestion surcharge. If there had been a problem with MSC’s congestion surcharge, it would be Dachser as the ‘shipper’ to MSC who could have lodged the complaint had it believed the charge to be unreasonable; however, it has not done so. And Dachser was in the best and last position to avoid SOFi from being billed for a (in MSC’S view reasonable) congestion surcharge.

POINT II

THE ORDER TO SHOW CAUSE IS UNLAWFUL

A. The Order To Show Cause Violates Due Process

Both the adoption of the Commission's procedure for handling charge complaints and its retroactive application to the charge herein at issue both violate applicable law.

The procedural regulations of an agency are rules within the meaning of the Administrative Procedure Act. 5 U.S.C. § 551(4). Under 5 U.S.C. §553, rules are to be adopted through rulemaking proceedings that afford the public notice of the proposed regulation and the opportunity to comment on same.² The Commission failed to adhere to these legal requirements in adopting its current procedures for handling charge complaints.

In an announcement issued on December 1, 2022, the FMC indicated that the new procedure for dealing with charge complaints would be for the FMC's Bureau of Enforcement to "recommend that the Commission – the five Commissioners as a body – issue an 'Order to Show Cause' to the common carrier under 46 C.F.R. Section 502.91 to formally adjudicate the Charge Complaint." This announcement was not published in the Federal Register, the public was not afforded an opportunity to comment on the new procedure, and the new procedure was not embodied in a regulation. Therefore, the adoption of the entire Order to Show Cause process for handling charge complaints did not comply with the Administrative Procedure Act. Consequently, the procedure is unlawful.

Even the FMC Officer acknowledged in his email to MSC Attorneys that "As you are no doubt aware, we are still formalizing the procedures for charge complaints, but at this time, we are

² See also, Executive Order 13891 of October 9, 2019, Promoting the Rule of Law Through Improved Agency Guidance Documents ("Agencies may impose legally binding requirements on the public only through regulations and on parties on a case-by-case basis through adjudications, and only after appropriate process, except as authorized by law or as incorporated into a contract.").

treating it as an informal investigation.” (Exhibit H). There were insufficient rules and guidance to the Charge Complaint when this Claim was first brought up to the Respondent. The interim rules and procedures announced by the FMC involved in resolving the Complaint, during this time, were understood as informal and temporary guidelines. Given the circumstances and the temporary guidance, the Respondent made a good faith effort to resolve the Claim amicably with an expectation that the Commission would eventually provide additional rules and procedures for the said Charge Complaint.

Even, assuming *arguendo*, that the announced procedure of converting charge complaints into Orders to Show Cause is considered lawful, it is legally improper to apply the procedure announced on December 1, 2022, to a charge complaint filed in August, 2022, almost four months prior to the adoption of the new procedure. The U.S. Supreme Court has held that the rules adopted by administrative agencies should not be applied retroactively unless criteria are met. *Bowen v. Georgetown Univ. Hospital*, 488 U.S. 204, 208, 109 S. Ct. 468, 102 L. Ed. 2d 493 (1988). *Bowen* requires that the agency must express its clear intention that such rules be applied retroactively. *Bowen* at 208 (“congressional enactments and administrative rules will not be construed to have retroactive effect unless their language requires this result.”). Second, assuming the first criterion has been met, then Congress must also have given the agency authority to promulgate retroactive rules. *Bowen* at 208, 224 (“it is axiomatic that an administrative agency's power to promulgate legislative regulations is limited to the authority delegated by Congress” and that therefore “a statutory grant of legislative rulemaking authority will not . . . be understood to encompass to promulgate retroactive rules unless that power is conveyed by Congress in express terms”). Neither of these criteria is satisfied here, and retroactive application of the Order to Show Cause procedure to a complaint filed prior to the adoption of the procedure is improper.

B. The Order To Show Cause Improperly Shifts The Burden Of Proof To MSC

The use of an Order to Show Cause with respect to a Charge other than “demurrage” or “detention” unlawfully shifts the burden of proof to MSC.

Under the Administrative Procedure Act, the proponent of a rule or order (which includes this Order to Show Cause) bears the burden of proof of establishing that a violation has occurred, unless otherwise provided by statute. 5 U.S.C. §556(d). The plain language of 46 U.S.C. § 41310(b)(2) shifts the burden of proof to the carrier only in instances involving demurrage and detention:

41310. Charge complaints

(a) Investigation. Upon receipt of a submission under subsection (a), with respect to a charge assessed by a common carrier, the Commission shall promptly investigate the charge with regard to compliance with section 41104(a) and section 41102. The common carrier shall—

(1) be provided an opportunity to submit additional information related to the charge in question; and

(2) **bear the burden of establishing the reasonableness of any demurrage or detention charges** pursuant to section 545.5 of title 46, Code of Federal Regulations (or successor regulations). (emphasis supplied).

The Order to Show Cause in this proceeding unlawfully places the burden of proof on MSC to prove that it did not violate 46 U.S.C. §§ 41102(c) and 41104(a)(14). This is inconsistent with the language of 46 U.S.C. §41310(b)(2), which shifts the burden of proof only with respect to demurrage and detention charges. The congestion surcharge in this case is not a “detention” or “demurrage” charge within the meaning of 46 C.F.R. §545.5(b). By shifting the burden of proof to MSC in this proceeding, the FMC is acting contrary to the statute. In any proceeding

challenging a congestion surcharge, the burden of establishing a violation of law remains on the Commission. Shifting the burden of proof through the issuance of an Order to Show Cause is unlawful.

C. Other Procedural/Due Process Violations

The Commission has also violated MSC's due process rights by, among other things, (i) failing to provide MSC with a copy of the Charge complaint filed by Claimant and any supporting documentation; (ii) failing to identify how the charge herein at issue purportedly violates the statutory provisions at issue; (iii) denying MSC the ability to conduct discovery in this proceeding; and (iv) waiving the application of a substantial portion of its procedural regulations to this proceeding, all of which deprive MSC of the ability to defend itself.

Pursuant to the terms of the Order, MSC hereby insists that the Commission allow it to seek discovery of documents from the Commission and third parties, to allow MSC take depositions of relevant witnesses, and to present oral argument.

POINT III

MSC DID NOT VIOLATE THE SHIPPING ACT

A. MSC Did Not Violate 46 U.S.C. § 41102(c)

MSC did not violate 46 U.S.C. § 41102, which provides that:

(a) Practices in Handling Property.—

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.(emphasis supplied).

While the Commission has determined that demurrage and detention relate to “receiving, handling, storing or delivering property”, as noted above the charge at issue in this case is not demurrage nor

detention. More importantly, the congestion surcharge herein does not relate to receiving, handling, storing or delivering property – it relates to the transportation of the property. The Commission has held that the predecessors of Section 41102(c) do not apply to the transportation of property, stating:

Sections 17 and 10(d)(1) do not empower the Commission to address unjust or unreasonable carrier activity that relates to the transportation of property, which is the subject of COGSA. They address only activities which occur before or after the water transportation, the period COGSA does not cover.

Definition of “Package” under the Carriage of Goods by Sea Act, 23 S.R.R. 111, 114 (FMC 1985).

The congestion surcharge at issue relates to the water transportation of the cargo, and hence falls outside the scope of Section 41102(c).

There are two other legal deficiencies in this proceeding. First, the Commission lacks the legal authority to challenge the amount of the charge. In this regard, Section 18 of the Shipping Act, 1916 (46 U.S.C. §817), provided that,

“Whenever the board finds that any rate, fare, charge, classification, tariff, regulation, or practice, demanded, charged, collected or observed by such carrier is unjust or unreasonable, it may determine, prescribe, and order enforced a just and reasonable maximum rate, fare, charge, or a just and reasonable classification, tariff, regulation, or practice.”

The foregoing authority was not carried over to Shipping Act of 1984 and was not added to the 1984 Act by either the Ocean Shipping Reform Act of 1998 or the Ocean Shipping Reform Act of 2022. Indeed, the FMC itself has recognized that it has no authority over the level of rates and charges. *Notice of Inquiry Concerning Use and Effect of Surcharges By Common Carriers and Conferences*, 26 S.R.R. 108, 119 (FMC 1992)(“We note, however, that the Commission does not have statutory authority to regulate the level of rates charged...”).

Second, the proceeding assumes that MSC is required to justify the congestion surcharge. Leaving aside the burden of proof issue already addressed above, MSC is under no legal obligation to justify the congestion surcharge any more than it is required to justify other surcharges, such as fuel surcharges, bill of lading surcharges, hazardous goods charges, overweight cargo surcharges, or other charges.³ A tariff rule imposing a congestion surcharge might potentially be subject of a legal challenge on the basis of clarity if the application of the charge turned on criteria specified in the tariff rule and those criteria were not clear. However, there is no requirement that tariff rules contain such criteria. Moreover, there is no issue of clarity here – the charge applies on all cargo subject to the tariff in question, and there is nothing ambiguous or unclear in the application of the charge. Indeed, if the charge had been styled as a peak season surcharge or general rate increase, it is highly unlikely that this proceeding would have been initiated. By focusing on the name of the charge, rather than the clarity and application of the charge, the Commission is missing the point and elevating form above substance.

Since Section 41102(c) does not apply to the actual water transportation of the cargo, the Commission has no authority over the level of rates and charges, and application of the charge is clear on the face of the tariff rule, the Commission should not find a violation of Section 41102(c) in this proceeding.

B. MSC Did Not Violate 46 U.S.C. § 41104(A)(14)⁴

MSC did not violate Section 41104(a)(14) of the Shipping Act, which makes it unlawful for a common carrier to:

³ Any suggestion that President Biden’s recent pronouncements regarding “junk fees” are relevant here is misguided. Such pronouncements relate to fees imposed on individual consumers, not charges imposed by one business entity on another.

⁴ The Order to Show Cause improperly seeks to require MSC to explain why it has not violated both sections 41102(c) and 41104(a). However, under Section 41310(b), the FMC can pursue either 41102(c) or 41104. The use of the word

(1) assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations);

Section 41104(a)(14) is an unnecessarily duplicative provision which prohibits violations of §41102(c), other provisions of the Shipping Act, and 46 C.F.R. Part 545 of the Commission's regulations. 46 C.F.R. Part 545 deals with demurrage and detention and, as noted above, the charge herein at issue is not either demurrage or detention charge. Accordingly, Part 545 is inapplicable. MSC has explained in the preceding section of this brief why there has been no violation of Section 41102(c). Because there has been no violation of §41102(c) or Part 545, there has been no violation of section 41104(a)(14).

C. The Rate Was Assessed And Contractually Agreed Upon In Response To Well-Known Congestion Affecting All Port In The United States

MSC's rates tariff rule in this matter (Exhibit B) pertaining to the congestion surcharge and the subject shipment states as follows:

“THE MERCHANT SHALL BE LIABLE FOR CONGESTION SURCHARGE AS SET FORTH BELOW AND REMAINS LIABLE UNTIL THE SAID CHARGES HAVE BEEN PAID IN FULL:

For cargo loaded in Asia/Southeast Asia and discharged in USA ports the following applies:

USD 1000-.per 40 ft

As noted above, the tariff rule is not required to and does not identify or define any objective external triggering event or public announcement. So, the application of MSC's congestion surcharges is not subject to any operational criteria that could be considered unclear

“or” in the statute indicates that the Commission cannot pursue violations of both statutory provisions in a single proceeding.

and need only comply with the regulatory notice requirement for the entry into effect of the relevant tariff rule for the subject trade. There is no legal requirement to provide a public announcement of a charge beyond publishing that charge in the tariff on not less than a 30-day notice. (46 CFR 520.8). Nonetheless, as a courtesy to its customers, MSC does provide public notice of new charges. Those notices were provided to Dachser, with whom MSC had an Ocean Carrier Agreement, on or about May 1, 2022. (True and correct copies of the notices and of the distribution list for the notices are attached herewith as Exhibits U and V).

There can be no denying that there was congestion in 2021 and 2022. FMC Commissioners and many industry experts acknowledged the unprecedented operational challenges including but not limited to congestion, slowed down and disruption in terminal services, and vessel delays.

“First, Congestion, reliability, and cost issues are hitting ports, businesses, and ocean-linked transportation networks not just in America but worldwide.

Second, the crisis does not just affect ocean shipping but the entire supply chain. Attention has been focused on ports because this is where we see dramatic pictures of lines of ships and piles of containers. But outdated infrastructure, equipment and labor shortages, railroad issues, and limited warehousing all diminish our capacity to move containers.

Third, the primary reason for the congestion, high prices and lack of reliability is that demand for cargo shipping has outstripped the supply.

See - Testimony of Chairman Maffei before Congress: “Impacts of Shipping Container Shortages, Delays, and Increased Demand on the North American Supply Chain.”, <https://www.fmc.gov/testimony-of-chairman-maffei-before-congress-impacts-of-shipping-container-shortages-delays-and-increased-demand-on-the-north-american-supply-chain/>

The FMC’s own Fact Finding Investigation stated in its Final Report that:

“[FMC’s] Fact Finding Officer has concluded that... the current market for ocean liner services in the Trans-Pacific trade is not

concentrated and the Trans-Atlantic trade is only minimally concentrated. Competition among ocean common carriers, among the three major alliances and among the members in each of these alliances, is vigorous. The market for ocean services remains highly contestable, particularly in the Trans-Pacific trade. *Finally, the Fact Finding Officer concludes that although certain ocean transportation prices, especially spot prices, are disturbingly high by historical measures, those prices are exacerbated by the pandemic, an unexpected and unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion, and are the product of market forces of supply and demand.*

“Our markets are competitive and the high ocean freight rates have been determined by unprecedented consumer demand, primarily in the United States, that overwhelmed the supply of vessel capacity. Congestion further constrained available capacity.” (emphasis supplied)

See: FMC Fact Finding Investigation 29 Final Report, <https://www2.fmc.gov/readingroom/docs/FFno29/Fact%20Finding%2029%20Final%20Report.pdf/>

The congestion in US ports (and elsewhere) and the unusual numbers of vessels waiting at anchor have been reported by national and international media, the White House, as well as by the FMC Commissioners. A small sampling of media reports on the issue can be read at the following links:

<https://www.freightwaves.com/news/traffic-jam-of-waiting-container-ships-is-now-as-bad-as-ever>

<https://www.freightwaves.com/news/coast-is-almost-clear-as-port-congestion-fades-even-further>

<https://www.whitehouse.gov/briefing-room/blog/2021/11/10/recent-progress-and-actions-on-port-congestion/>

<https://container-news.com/congestion-a-big-piece-of-the-supply-and-demand-puzzle/>

MSC responded to this congestion, as many carriers do throughout the world, by imposing a surcharge to address the additional costs it incurred as a result of such congestion. Given that (i) it is indisputable that congestion has occurred; (ii) MSC's tariff rule is 'clear and definite' as required by 46 C.F.R. §520.7; (iii) the rule was published with the requisite notice; and (iv) the FMC's lack of authority over the level of rates and charges, there is nothing unreasonable or unlawful about MSC's congestion surcharge or its application in this instance.

POINT IV

THE CHARGE COMPLAINT IS MOOT BECAUSE RESPONDENT VOLUNTARY ISSUED A FULL REFUND OF THE CHARGE

A. The FMC Should not Pursue Moot Claims

Federal courts lack jurisdiction to decide moot cases because their constitutional authority extends only to actual cases or controversies.” *Larsen v. U.S. Navy*, 525 F.3d 1, 4 (D.C.Cir.2008) (quotation marks omitted). A case is moot when “the challenged conduct ceases such that there is no reasonable expectation that the wrong will be repeated” in circumstances where “it becomes impossible for the court to grant any effectual relief whatever to the prevailing party.” *City of Erie v. Pap's A.M.*, 529 U.S. 277, 287, 120 S.Ct. 1382, 146 L.Ed.2d 265 (2000). An administrative agency equally has no jurisdiction over a complaint that has been fully satisfied. See 46 U.S.C. § 41301(c) allowing the Commission to investigate a complaint only if not satisfied.

There is no existing case law Respondent is aware of that is to the contrary in respect to an administrative agency decision.

B. The Voluntary Refund of Disputed Charges Renders the Charge Complaints Moot

FMC's policies and procedures, as well as its Charging Complaint guidelines and related interim procedures (including “Frequently Asked Questions” on FMC's website), have always

expressly endorsed and encouraged ocean carriers to make a “refund” (or agree to waive such a claimed amount) as way to resolve such claims.

Under the rules of Ocean Shipping Reform Act of 2022 (“OSRA 2022”) and the guidelines of Federal Maritime Commission (“FMC”), the common carrier can voluntarily elect to refund any payment to the shipper or complaining party while the matter is being investigated or at any stage prior to the Commission’s decision.

Guidance on Charge Complaint Interim Procedure

FREQUENTLY ASKED QUESTIONS

Q: Can the common carrier settle/voluntarily refund or withdraw the disputed fee or charge?

*A: Yes. The common carrier can voluntarily elect to refund (or waive) any payment to the shipper or complaining party while the matter is being investigated or at any stage prior to the Commission’s decision. **The common carrier’s issuance of a refund or waiver of the charge in dispute will result in the closure of the complaint and no additional Charge Complaint action will be taken. (emphasis supplied).***

(Reference: <https://www.fmc.gov/osra-2022-implementation/charge-complaint-interim-procedure/>).

MSC in fact did make a refund when it sent the check for the total amount in the Charge claim of \$1,000 to SOFi’s office in Florida on February 13, 2023, and that check was confirmed delivered to SOFI’s office on the following day by FedEx. When MSC made the full refund of the charge as demanded by Claimant,⁵ MSC satisfied that demand by the Claimant in compliance with the requirements and guidelines set by the FMC to settle a disputed fee or charge. As the FAQ section of the FMC’s website explains, the action by the carrier can be voluntary and there is no requirement that the complaining party accept the refund. Claimant subsequent demanded

⁵ It should be noted that sending the funds to Claimant was complicated and delayed by the fact that Claimant’s address was not included in any of the documents provided to MSC, and consequently we had to go through the Secretary of State’s office of Florida to get an address.

\$500 on top of the full refund. Such an unfounded and late request is unjustified, irrelevant and, most importantly, insufficient to maintain in existence a justiciable controversy. Claimants has never indicated that its actual claim for congestion charges exceeded \$1,000.

C. MSC Has Voluntarily Refunded All Of The Charges SOFi Sought In Its Original Claim.

MSC refunded and delivered the \$1,000 claimed by SOFi in its Charge complaint on February 14, 2023. MSC did so prior to any decision by the FMC in respect to SOFi's complaint. MSC's voluntary action constitutes a full satisfaction of SOFi's rights under 46 U.S.C. § 41310 *et seq.* and no further demand can be made by SOFi to MSC pursuant to the facts of this case.

It is black letter law that, in absence of a justiciable controversy, a dispute should be dismissed for lack of subject matter jurisdiction and mootness. Notwithstanding the fact that the Order has ignored that MSC had already presented an offer of full refund to SOFi, the fact remains that MSC delivered a check for the full refund of \$1,000 to the Claimant at its office. Therefore, there is no congestion charge dispute left to be examined by the FMC. It is submitted that from the moment MSC's full refund check to SOFi was acknowledged as received by the Claimant through FedEx, the Order and the furtherance of these proceedings were rendered moot.

In summary, once the Respondent offered and tendered a refund check for the full amount of the Claim to Claimant, the intended purpose of the Charge Complaint has consequently been satisfied.

POINT V

THE FMC SHOULD DISMISS THE CHARGE COMPLAINT PURSUANT TO A SETTLEMENT BETWEEN THE PARTIES

A. A Valid Settlement Was Reached Between The Parties

MSC respectfully submits that what MSC provided to SOFi in this case was a "full refund" in compliance with the FMC "Guidance on Charge Complaint Interim Procedure". MSC

respectfully submits that, by paying 100% of the contested charge, MSC issued a voluntary refund, while a “settlement” would contemplate an amount less than 100%. To the extent that the FMC may in any event perceive this case as a “settlement” between the parties, respondent takes the position that MSC and SOFi entered into a valid settlement agreement as of November 18, 2022, when Chung sent SOFi an email unconditionally accepting SOFi’s \$1,000 settlement offer.

Disputes involving settlement agreements are governed by contract principles. *See Tiburzi v. Dep’t of Justice*, 269 F.3d 1346, 1351 (Fed.Cir.2001) (“It is ‘axiomatic that a settlement agreement is a contract.’”) (Internal citations and quotation marks omitted). General contract law provides that, in order to form a contract, it is required “a bargain in which there is a manifestation of mutual assent to the exchange and a consideration”. Restatement (Second) of Contracts § 17 (1981). “The manifestation of mutual assent to an exchange ordinarily takes the form of an offer or proposal by one party followed by an acceptance by the other party or parties.” *Anderson v. United States*, 344 F.3d 1343, 1353 (Fed. Cir. 2003) quoting the Restatement (Second) of Contracts § 22(1) (1979).

The parties’ exchanges that led to the formation of the settlement agreement can be summarized as follows: MSC presented an initial settlement offer for \$350 on October 6, 2022. SOFi rejected that offer on October 7, 2022 and stated that SOFi would “settle for the full amount of \$1000”. That email constituted a counteroffer as it contained a conditioned assent by SOFi to settling with MSC. The law is clear in that “[a] reply to an offer which purports to accept it but is conditional on the offeror’s assent to terms additional to or different from those offered is not an acceptance but is a counter-offer.” *First Com. Corp. v. United States*, 335 F.3d 1373, 1381 (Fed. Cir. 2003) quoting the Restatement (Second) of Contracts § 59 (1979). This is true also for settlement agreements: “where a party’s response to an offered settlement agreement makes ‘edits’

or changes to the offer proposed by the other party, the responding party has ‘essentially made a counter-offer.’” *Great Lakes Commc'n Corp. v. AT&T Corp.*, 124 F. Supp. 3d 824, 849 (N.D. Iowa 2015). *See also Etablissement Asamar Ltd. v. Lone Eagle Shipping Ltd.*, 882 F. Supp. 1409, 1411 (S.D.N.Y. 1995). SOFi, in its October 7 communication to MSC conditioned the settlement to MSC accepting a different material term of the settlement: a payment increase from \$350 to \$1,000.

On November 18, 2022, MSC then unconditionally accepted SOFi’s counteroffer when Chung emailed back SOFi accepting to settle for the full \$1,000 amount. The offer to pay \$1,000 was done solely to avoid further expense and time on the claim, and not because of the merits of the Charge. SOFi’s October 7, 2022, offer did not contain a term for its acceptance, nor was it ever revoked by SOFi prior to MSC’s unconditional acceptance. When an offer doesn’t specify a timeframe for its acceptance it will remain open for a reasonable time unless revoked. *Etablissement Asamar Ltd.*, 882 F. Supp. at 1411 (S.D.N.Y. 1995). Courts have held that a two-month delay between offer and acceptance constitutes a reasonable time to communicate an acceptance. *See e.g. Id.* at 1412. MSC accepted SOFi’s offer 42 days after the offer was made which is fully within the reasonable term. As such, the settlement between MSC and SOFi was perfected on November 18, 2022, and the dispute should be considered resolved from that date.

SOFi’s successive communication dated November 22, 2022, in which SOFi sought an additional \$500 for “time spent on this and time without the money” is inconsequential with respect to the formation of the settlement agreement for \$1,000, which had already taken place on November 18, 2022. There is no reason under the law why the Claimant is not equally bound by the agreement. SOFi’s sudden attack of “buyer’s remorse” after being told by MSC that it would provide a full refund, and its new demand for \$1,500 in hopes that it could recover even more

money than it claimed, is not a legal defense to an agreed settlement - and should not be condoned by the FMC if the FMC seeks to pursue its public policy of amicable settlements between the parties.

Had MSC refused to pay the \$1,000 after accepting Claimant's demand to settle for \$1,000, under the horn-book law cited above, Claimant would have been entitled to sue on the settlement agreement and to recover from MSC the unpaid amount.

B. The FMC Should Approve This Settlement

The Commission has long recognized that the law strongly favors settlements. *A.P. Moller-Maersk Line Possible Violations of Sections 10(b)(1), 10(b)(2), and 10(b)(4) of the Shipping Act of 1984*, 1999 WL 462920, at *1. This has led the Commission to develop “a strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid”. *HUAL AS v. Puerto Rico Ports Authority*, 2003 WL 22113978, at *3 (internal citations omitted). *See also World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing, A.k.a. Johnny Yu - Possible Violations of Section 10 of the Shipping Act of 1984*, 2010 WL 2175399, at *3 and *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)). Rather than substituting its judgment to the parties, the Commission undertakes a relatively limited role when it comes to scrutinizing settlements. *See P.R. Shipping Ass'n v. P.R. Ports Auth.*, 27 S.R.R. 645, 647 (ALJ 1996). In fact, “[i]f a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *HUAL AS v. Puerto Rico Ports Authority*, 2003 WL 22113978, at *3.

When it comes to this specific dispute, the initial notice of Charging Complaint 2022004 (dated August 11, 2022) from the FMC to MSC also stated that:

“Please note, parties are encouraged to privately settle disputes and may request that the Commission discontinue the charge complaint process at any time with the consent of both parties, and by providing to the assigned Area Representative, proof of refund, cancellation of the disputed invoice, or some other documentation indicating a settlement agreement.” (emphasis supplied).

And even in the final notice sent by the FMC regional officer to MSC (dated November 14, 2022), updating MSC that the subject case has been forwarded to Office to Enforcement, the FMC continued to encourage the ocean carrier to make the refund as a way to resolve the claim.

“Please note, parties are encouraged to continue efforts to settle disputes privately and may request that the FMC discontinue the charge complaint process at any time, by providing proof of refund, cancellation of the disputed invoice, or some other documentation of the settlement agreement to the Office of Enforcement.”(emphasis supplied).

Such a guidance and encouragement from the FMC to the Respondent to offer the full refund or waiver of the charges that are being claimed as the disputed are consistent with the FMC Commission’s longstanding policy of encouraging settlements.

Given the settlement achieved between the parties and the long-standing policy of the FMC of approving settlements and consequently terminating the corresponding action pending, MSC respectfully requests that the Commission dismiss the Order.

POINT VI PENALTY

According to the FMC’s policies and procedures, as well as its Charging Complaint guidelines and related interim procedures, Respondent’s voluntary refund in full of the charge at issue prevents the Commission from taking any further action on this Charge Complaint including the imposition of a penalty.

A penalty is also not warranted in this matter because the Respondent negotiated in good faith with SOFi throughout this proceeding. Good faith that SOFi lacked when it breached the settlement by seeking to recover in excess of the full amount of its claim.

Furthermore, as explained at length in Point III of this response, Respondent has not violated 46 U.S.C. §41102(c) and 46 U.S.C. §41104(a)(14). Therefore, the Commission should not impose a penalty.

POINT VII

RESERVATION OF RIGHTS

A. Reservation Of Right To Submit Request To Submit Oral Testimony And Additional Evidence

As noted in Point II.C of this response, pursuant to the terms of the Order, MSC requests the Commission allow it to seek discovery of documents from the Commission and third parties, to take depositions of relevant witnesses, and to present oral argument.

B. Reservation Of Right On Preserving All Defenses To Hearing On Civil Penalty

This response constitutes MSC's response to the Order to Show Cause. MSC does not waive any arguments or defenses that may be available to it in any proceeding that may be initiated for purposes of imposing a civil penalty on MSC in connection with the surcharge herein at issue, and expressly reserves the right to raise any and all defenses in any such future proceeding.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons Respondent respectfully submits that:

1. The Charge Complaint be dismissed on the grounds that Respondent voluntarily issued a refund for the full amount of the charges in dispute at a stage prior to the Commission's decision. Therefore, according to the Commission's own Guidance on Charge Complaint Interim Procedure no additional Charge Complaint action will be taken;

2. Respondent's action in assessing a congestion surcharge with respect to bill of lading no MEDUI0745188, dated July 14, 2022 does not constitute a violation of 46 U.S.C.

§ 41102(c) and 41104(a)(14);

3. A civil penalty, under §§ 41310(d) and 41107 is not warranted in this case.

Dated: February 28, 2023

Respectfully submitted,

/s/Vincent M. DeOrchis

/s/Wook Chung

/s/Kaspar Kielland

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Mediterranean Shipping Company S.A.

CERTIFICATE OF SERVICE

I certify that on the 28th day of February 2023, a true and correct copy of the foregoing Petition to Dismiss and Declaration of Wook Chung in Support of Petition to Dismiss were served by email on all counsel of record in accordance with 46 CFR Part 502.

/s/Kaspar Kielland
Kaspar Kielland

FEDERAL MARITIME COMMISSION
Office of the Secretary
secretary@fmc.gov

OFFICE OF ENFORCEMENT, BUREAU OF ENFORCEMENT,
INVESTIGATIONS, AND COMPLIANCE
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EXHIBIT A

EXHIBIT B

Rule Detail

Organization: MEDITERRANEAN SHIPPING COMPANY S.A.(001699)
Tariff: MSC Far East EB(to USA)&WB(from USA) Freight Tariff & Rules(MESU-032)
Rule: CONGESTION SURCHARGE (CGS)(10- AO)

Table: CGS - CONGESTION SURCHARGE

Assessorial: CGS - CONGESTION SURCHARGE

Filing Information:

Filed: 04May2022

Effective: 04May2022

Expires:

Thru:

Amendment Type: RC

Status: Filed

Special Case:

FOR THE PURPOSE OF THIS RULE, TERMS MERCHANT AND CARRIER HAVE THE MEANINGS SET FORTH IN CARRIERS CONTRACT OF CARRIAGE TERMS AND CONDITIONS (PLEASE REFER, FOR EXAMPLE TO CARRIERS CONTRACT OF CARRIAGE TERMS AND CONDITIONS IN RULE 8-B SEA WAYBILL AND RULE 8-A BILL OF LADING, [MESU-032])

THE MERCHANT SHALL BE LIABLE FOR CONGESTION SURCHARGE AS SET FORTH BELOW AND REMAINS LIABLE UNTIL THE SAID CHARGES HAVE BEEN PAID IN FULL:

For cargo from USA & Puerto Rico to TIANJINXINGANG:
USD 1500.- per Reefer container

For cargo from USA & Puerto Rico to FUZHOU:
USD 1500.- per Reefer container

For cargo from USA & Puerto Rico to Manilla (North Harbor),
Phillipines:
USD 1000,- per 20RE/ 40RE/ 40HR

For cargo loaded in Asia/Southeast Asia and discharged
in USA ports, the following applies:
USD 800.- per 20ft
USD 1000.- per 40ft
USD 1125.- per 40HC
USD 1266.- per 45ft

* = Future Revision  = Required Field

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EXHIBIT C



MEDITERRANEAN SHIPPING COMPANY

BOOKING CONFIRMATION FORM

BOOKING REF : EBKG03256105

TO : PT. DACHSER INDONESIA (REGIONAL HEAD OFFICE)

FROM : Mifdal Rasyid Ridha

SALES PERSON : FPRATAMA

DATE OF BKG : 23-MAY-22

FURTHER TO YOUR BOOKING OF THE BELOW SHIPMENT PLEASE FIND THE FOLLOWING DETAILS FOR YOUR KIND REFERENCE

SHIPPER : PT. DACHSER INDONESIA (REGIONAL HEAD OFFICE)

CARRIER : MSC

FEEDER VESSEL : MSC EXPRESS III V.SE219R

CONNECTING VESSEL: MSC INES V.UK225A

ORIGIN :

P . O . L / 1st T/S : JAKARTA, JAVA / SINGAPORE

ETD : 05-JUN-22

P . O . D : SEATTLE

FINAL DEST :

NO .& type of cntrs : 1X40DV WEIGHT : 8800

DESCRIPTION : Other packing containers, including record sleeves

YARD LOCATION : PT. GOOD LOGISTICS TERMINAL,,Jl. Raya Cakung Cilincing Pal II, Cilincing, Jakarta Utara

EMPTY PICK-UP/CFS

DATE :

SPECIAL REMARKS : 22-251TPC / EBKG03256105

ADDITIONAL REMARKS :

CUSTOMER PROPOSED RETURN FULL DATE : 29-MAY-22

CUT OFF DATE /TIME : 02/06/2022 00:00:00

TERMINAL : JICT1 - JAKARTA INT CONTAINER TERMI

ADDRESS :

- Denda USD1000 dikenakan untuk cargo yang beratnya melebihi kapasitas PAYLOAD container.
 - Pada saat penerimaan D/O dan saat pengambilan container kosong EMKL harap memperhatikan type,size,jumlah dan kondisi kontainer apakah sudah sesuai dengan yang dipesan, kesalahan dalam pengambilan karena tidak mengindahkan hal ini bukan tanggung jawab MSC.
 - Export Detention Charges (Export Container Rental Charges) akan dikenakan untuk kontainer dengan masa penggunaan melebihi batas waktu yang diberikan (Free time), masa perhitungan dimulai sejak tanggal EMPTY PICKUP berakhir saat LOADED TO VESSEL.
 - Container Cancellation akan dikenakan biaya Container Rental Charge (Tariff sama dengan tariff Export Detention Charge) dengan masa freetime adalah 3 hari. Jika terjadi cancelation, SEAL & D/O, harap dikembalikan ke MSC Depot.
 - Tarif dan ketentuan MSC Container Rental Charges dapat berubah-ubah sewaktu-waktu dengan atau tanpa pemberitahuan sebelumnya.
 - Untuk menghindari hal-hal yang tidak diinginkan coretan dalam D/O tidak dibenarkan kecuali ada stempel koreksi dan legalisasi dari MSC.
 - Apabila terjadi pembatalan SEAL & D/O, harap dikembalikan ke MSC.char(10)- Container Cancellation akan dikenakan biaya Rental Charge (Tariff sama dengan tariff Detention Charge) dengan masa freetime adalah 3 hari. Jika terjadi cancelation, SEAL & D/O, harap dikembalikan ke MSC office atau MSC depot.
 - Nomor Seal harus dipasangkan dengan nomor container sesuai yang tercantum dalam EIR / Surat Jalan yang diberikan oleh Depot. Segala biaya yang timbul dikarenakan mengindahkan hal ini akan menjadi beban shipper. Dilarang melakukan container swap dan seal swap.- Semua sticker fumigasi dari surveyor harap ditempel di bagian dalam container, BUKAN DI LUAR CONTAINER . Adanya sticker yang tidak sesuai dengan yang dilaporkan kepada MSC akan menjadi beban shipper. - B/C ini berlaku hanya untuk Penarikan Container dan tidak berlaku untuk keperluan lain.
 - Revisi B/L Draft (Container dan seal nomer) harus di berikan kepada MSC selambat-lambatnya dalam 1x24Jam sebelum closing time.
 - Harap mencantumkan harmonized code (HS Code) untuk semua SI yang diberikan untuk menebus B/C.
 - USD500 akan dibebankan untuk permintaan COD setelah kapal berangkat.
 - B/C ini dikeluarkan berdasarkan SI, jika pelanggan memiliki permintaan yang belum tercantum harap menghubungi Customer Service Kami di 021-50805000 Ext:CS Jika tidak ada maka B/C ini kami anggap akurat dan benar.
 - Pada kondisi dimana shipment rollover, MSC akan mengangkut cargo tersebut ke kapal yang tersedia berikutnya.
 - B/L Draft HARUS tersedia 1 hari sebelum kapal tiba.
- Atas perhatiannya kami ucapkan terimakasih.

"Please note the cut off time for Shipping Instruction submission is at 1200 hours, Five calendar days before vessel ETD. Failure to submit SI within the deadline will lead to Fine/Penalty and container may not be loaded on vessel."

The Merchants are herewith informed that this booking is subject to documentation fees due at destination, in addition to other local charges,payable prior to delivery. For further information please contact your local MSC. Agent.

The Merchants hereby represent that the cargo value per container load, does not exceed the sum of USD 200 000.00 and they acknowledge that the quotation is based on the representation that the cargo value is less than USD 200 000. In the event that the cargo value exceeds the aforementioned sum and the Merchants fail and/or neglect to notify the Carrier in writing prior to their acceptance of the quotation, the Carrier's liability shall be limited to either USD 200 000 or the limitation as provided for in the Contract of Carriage, whichever the lesser.

High Value Commodity Mis-Declaration Fee - Any cargo with a commercial value exceeding USD 250,000 (two hundred and fifty thousand US Dollars) must be declared to MSC or its agent at the time of booking. Failure by the Merchant to inform MSC will result in the application of a High Value Commodity Mis-Declaration Fee of 25,000 USD (twenty five thousand US Dollars), being expressly agreed that such information to MSC shall not be considered as a declaration of value and the



MEDITERRANEAN SHIPPING COMPANY

documentation so issued will not be deemed ad valorem unless this has been formally agreed by MSC and the corresponding surcharge paid by the Merchant

BL NUMBER MEDUI0745188



MEDITERRANEAN SHIPPING COMPANY

Terms and conditions of the Carrier's Bill of Lading or Sea Waybill
("Contract of Carriage" - available at http://www.mscgva.ch/bl_terms/bl.html)
apply as from the issuance of this Booking Confirmation as if incorporated by reference.

1) Parties and Contract Terms

This Booking Confirmation forms a contract between the Carrier and the Merchant as defined in the Contract of Carriage.

2) Description of Goods (see clauses 14 and 15 of the Contract of Carriage)

Should the description of the Goods provided at the time of booking or as amended be inaccurate, the Merchant is liable for all resulting increased charges, costs, expenses, losses and damages whatsoever.

3) Goods, Packing and Container Weights:

(a) Dangerous or hazardous Goods have been accepted by the Carrier in reliance of the Merchant's notice of their full and true nature. The Merchant's dangerous or hazardous goods declarations must be in the format required by all applicable regulations.

(b) Goods include any packaging and any packing materials used to secure the cargo in the Container. It is the Merchant's responsibility to ensure that packaging and packing materials, especially timber, comply with all applicable requirements and their import is permitted in the country of destination. The weight of packaging and packing must be included in the total weight declared for each Container.

(c) Incorrectly declared weights of Goods directly affect the safety of the Vessel and all persons involved in the transportation of the Goods and the Merchant must take care to properly evaluate the weight of the Goods.

(d) Overloaded Containers are not permitted to be carried by law and the Merchant must not exceed the maximum weight limit indicated on each Container. If the Merchant fails to comply with these provisions the Carrier reserves the right to deal with such Goods as it sees fit including but not limited to not loading the Goods, stopping Goods in transit, discharging at the next port and/or repacking them and levying extra charges, and the Merchant is strictly liable to indemnify the Carrier for all costs, losses, delays, damages, fines, increased charges and any other consequences whatsoever arising.

4) Freight and Charges

Freight and charges are based on the instructions provided at the date of this Booking Confirmation and may change if the shipper's instructions change. Unless otherwise agreed in advance, the applicable tariff for freight and charges for the Goods is the tariff in effect as at the date the Carrier takes possession of the Goods. The Carrier reserves the right to amend the freight and charges if the Carrier's tariff changes after the date hereof up until the Carrier takes possession of the Goods.

5) Use of Booking Agents

Where the Merchant uses a booking agent, the Merchant warrants that the booking agent has the authority to enter into this contract, receive original bills of lading and provide confirming instructions to the Carrier, until the Merchant advises the Carrier otherwise in writing.

6) Damage to Cargo Due to Atmospheric Conditions

Save where Goods are carried in an operating refrigerated Container, the Carrier has no liability whatsoever for loss or damage to the Goods caused by variations in atmospheric conditions (e.g., temperature, humidity).

7) Container Seal(s)

Notwithstanding the provision of Container seal(s) by the Carrier, it is the Merchant's responsibility to ensure the type of Seal affixed to the Container(s) is in compliance with all applicable regulations.

8) Fumigation / Phytosanitary

It is the Merchant's responsibility to provide fumigation and/or phytosanitary certificates in good time for presentation to authorities as required and the Merchant is responsible for all consequences of failing to do so.

9) Extra Charges

The Merchant is advised that extra charges may be levied by local authorities in addition to the freight and charges listed on Page 1 or described in the Carrier's tariff and payable before the Goods can be delivered. The Carrier may be required to collect the extra charges on behalf of the local authorities.

10) Sanctions and Import/Export Control Laws

It is the Merchant's responsibility to ensure that this Booking Confirmation complies with all applicable trade sanctions and import/export control laws (Sanctions). The Merchant is strictly liable to indemnify the Carrier for all costs, losses, damages and consequences whatsoever arising out of any failure by the Merchant to comply with Sanctions. Carrier reserves the right to ensure compliance with Sanctions applicable to the Carrier.

11) Sending of Bills of Lading and Sea Waybills

Bills of Lading or Sea Waybills will be available for the Merchant to collect from the MSC Agency office, but should the Merchant request them to be sent, this shall be at the Merchant's own risk and expense. Carrier and MSC Agency accept no liability whatsoever.

12) Mode of Transport, Vessel, and Voyage Number

The information provided in these fields is anticipated at the time of the booking. Carrier reserves the right to change any of them.

13) Late Customs Declaration Fines

When it is the Merchant's responsibility to file customs declarations and the Carrier is fined in consequence of the Merchant's late, incomplete or erroneous filing the Merchant shall indemnify the Carrier for the fine and for all costs, losses and expenses whatsoever incidental thereto.

14) Contract of Carriage

The information furnished on this Booking Confirmation will be used to issue the Contract of Carriage.

EXHIBIT D

Non-negotiable sea waybills

NOTICE TO SHIPPERS

It has been agreed that your cargo will move on our vessels against Sea Waybills instead of Negotiable Bills of Lading.

You therefore agree to the following conditions:

1. Cargo carried under the Sea Waybill will be released to the party named as "Consignee" on the Sea Waybill upon proof of identification. Release will not be made upon presentation of the relevant Sea Waybill.
2. Unless Shippers formally notify MSC of any objections within five (5) business days of this notice, this notice shall be considered a formal understanding between MSC and the Shippers which shall apply to the Sea Waybill which was requested.
3. "Shippers", for the purpose of this notice and the Sea Waybill, include agents who are booking the underlying shipment on behalf of the Shipper of record listed on the Sea Waybill.
4. Upon receipt of the Sea Waybill by the Shippers, the terms and conditions of the MSC Sea Waybill are agreed by the Shipper.
5. The Shippers shall remain a final responsible party for the settlement of all sums due to MSC, including Freight and other charges, despite any legal duties that might exist between the Consignee and MSC concerning the same.
6. After the Sea Waybill is issued, the Shippers agree to follow and comply with MSC's then-current procedures, including without limitation procedures requiring a Letter of Indemnity in the event of a lost Sea Waybill, or instructions concerning delivery to a party other than the consignee listed on the Sea Waybill.
7. Unless the Shippers have exercised the option under #8 below, the Shippers shall be the only parties entitled to give instructions in relation to the contract of carriage.
8. The Shippers shall have the option to irrevocably renounce any right to vary the identity of the Consignee while the cargo underlying the Sea Waybill is in transit. Should this option be exercised, the Shippers undertake to indemnify MSC, their agents, servants, subcontractors and Owners of the carrying vessels against all liabilities, losses, costs and expenses arising from mis-delivery of the cargo, if arising from such renunciation.

MEDITERRANEAN SHIPPING COMPANY S.A. Website: www.msc.com SCAC Code : MSCU		SEA WAYBILL No. MEDUI0745188 NOT NEGOTIABLE - COPY "Port-to-Port" or "Combined Transport" (see Clause 1) NO. & SEQUENCE OF SEA WAYBILLS 0 Of Zero NO. OF RIDER PAGES 1							
SHIPPER: PT.DACHSER INDONESIA PALMA ONE 2ND FLOOR, RM. 201 JL.HR. RASUNA SAID KAV.X2 NO.4 KUNINGAN, JAKARTA SELATAN 12950 *		FORWARDING AGENT :							
CONSIGNEE: DACHSER USA AIR & SEA LOGISTICS INC. MIAMI OFFICE 8861 NW 18TH TERRACE, SUITE 120 ** NOTIFY PARTIES: (No responsibility shall attach to the Carrier or to his Agent for failure to notify - see Clause 20) DACHSER USA AIR & SEA LOGISTICS INC. MIAMI OFFICE 8861 NW 18TH TERRACE, SUITE 120 **		CARRIER'S AGENTS ENDORSEMENTS: (Include Agent(s) at POD) LLOYDS/IMO NUMBER: 9305714 SHIPPER DECLARES THAT ANY APPLICABLE WOOD PACKAGING MATERIALS COMPLY WITH ISPM15 REGULATIONS. FAILURE TO COMPLY WILL RESULT IN CONTAINERS BEING RETURNED TO LOAD PORT OR CARGO DESTROYED ALL COSTS FINE PENALTIES WILL BE FOR SHIPPER'S ACCOUNTS. MSC EXPRESSLY RESERVES ITS RIGHTS TO INVOICE TO THE MERCHANT ANY STORAGE, DETENTION COSTS ACCRUED OVER THE APPLICABLE FREE TIME AND RESULTING FROM THE EXTRAORDINARY DISORDERS CURRENTLY EXPERIENCED AT DESTINATION IN THE ON-CARRIAGE OF CARGO TO FINAL PLACE OF DELIVERY.							
VESSEL & VOYAGE NO. (see Clauses 8 & 9) MSC INES - 225A		PORT OF LOADING JAKARTA, INDONESIA							
BOOKING REF. EBKG03256105		SERVICE CONTRACT NUMBER 22-251TPC							
PORT OF DISCHARGE SEATTLE,WA,USA		PLACE OF RECEIPT: (Combined Transport ONLY - see Clauses 1 & 5.2) XXXXXXXXXXXXXXXXXX							
PLACE OF DELIVERY : (Combined Transport ONLY - see Clauses 1 & 5.2) XXXXXXXXXXXXXXXXXX									
PARTICULARS FURNISHED BY THE SHIPPER - NOT CHECKED BY CARRIER - CARRIER NOT RESPONSIBLE - See Clause 14									
Container Numbers, Seal Numbers and Marks	Description of Packages and Goods (Continued on attached Sea Waybill Rider page(s), if applicable) PLEASE SEE ATTACHED RIDER PAGE(S) FOR DESCRIPTION OF PACKAGES AND GOODS	Gross Cargo Weight	Measurement						
If above commodities, technology or software were exported from the USA, the export administration regulations must be complied with by the Merchant. In version, contrary to US law is prohibited.									
FREIGHT & CHARGES Cargo shall not be delivered unless Freight & charges are paid (see Clause 16).		RECEIVED by the Carrier from the Shipper in apparent good order and condition unless otherwise stated herein the total number or quantity of containers or other packages or units indicated in box entitled "Carrier's Receipt" for carriage subject to all the term hereof from the Place of Receipt or the Port of Loading, to the Port of Discharge or Place of Delivery, whichever is applicable. IN ACCEPTING THIS SEA WAYBILL THE SHIPPER EXPRESSLY ACCEPTS AND AGREES TO, ON HIS OWN BEHALF AND ON BEHALF OF THE CONSIGNEE, THE OWNER OF GOODS AND THE MERCHANT, AND WARRANTS HE HAS AUTHORITY TO DO SO, ALL THE TERMS AND CONDITIONS WHETHER PRINTED, STAMPED OR OTHERWISE INCORPORATED ON THIS AND ON THE REVERSE SIDE AND TERMS AND CONDITIONS OF THE CARRIER'S APPLICABLE TARIFF AS IF THEY WERE ALL SIGNED BY THE SHIPPER. Unless instructed otherwise in writing by the Shipper delivery of the Goods will be made only to the Consignee or his authorized representatives. This Sea Waybill is not a document of title to the Goods and delivery will made, after payment of any outstanding Freight and charges, only on provision of proper proof of identity and of authorization at the Port of Discharge or Place of Delivery, as appropriate, without the need to produce or surrender a copy of this Sea Waybill. IN WITNESS WHEREOF the Carrier, Master or their Agent has signed this Sea Waybill.							
FREIGHT AND CHARGES ISPS INTL POD PSC OCEAN FREIGHT TERMINAL HANDLING CHARGE CHASSIS USAGE CHARGE GLOBAL FUEL SURCHARGE CONTAINER COMPLIANCE CHARGE	BASIS 1.00 1.00 1.00 1.00 1.00 1.00	RATE USD USD USD USD USD USD	<table border="1" style="width:100%; border-collapse: collapse;"> <tr> <th colspan="2" style="text-align: center;">PAYABLE AT</th> </tr> <tr> <th style="width:50%; text-align: center;">POL</th> <th style="width:50%; text-align: center;">ELSEWHERE</th> </tr> <tr> <td style="text-align: center;">USD</td> <td></td> </tr> </table>	PAYABLE AT		POL	ELSEWHERE	USD	
PAYABLE AT									
POL	ELSEWHERE								
USD									
DECLARED VALUE (only applicable if Ad Valorem Charges paid - see Clause 7.3) XXXXXXXXXXXXXXXXXX		CARRIER'S RECEIPT (No. of Cntrs or Pkgs rcvd by Carrier - see Clause 14.1) 1 cntr							
PLACE AND DATE OF ISSUE 05-JUNE-2022		SHIPPED ON BOARD DATE 05-JUNE-2022							
SIGNED By MSC (USA) Inc. as Agent on behalf of the Carrier MSC Mediterranean Shipping Company S.A.									

**MEDITERRANEAN SHIPPING COMPANY S.A.**Website: www.msc.com

SCAC Code : MSCU

SEA WAYBILL No.**MEDUI0745188****RIDER PAGE**

Page 1 of 1

CONTINUATION OF PARTICULARS FURNISHED BY THE SHIPPER - NOT CHECKED BY CARRIER - CARRIER NOT RESPONSIBLE (see Clause 14)

Container Numbers, Seal Numbers and Marks	Description of Packages and Goods (Continued on further Sea Waybill Rider page(s), if applicable)	Gross Cargo Weight	Measurement
MSCU5526756 40' DRY VAN SEAL NUMBER:FJ14308949	589 CARTON(S) OF 589 CTNS OF : PAPER PACKAGING PRSO22002 INV 188 N.W : 7,033.26 KGS * TAX ID : 03.332. [REDACTED] 5.000 TEL N O : +62 21 252 0443 FAX NO : +62 21 252 0388 ** MIAMI FL 33172 USA PHO:+1 305 4 77 9595 FAX:+1 305 477 979 5 TAX NO. [REDACTED] 3095 SHNPWP [REDACTED] 5.000 TOTAL NUMBER OF PACKAGES: 589	7,521.170 KGS. 16,581.342 LBS.	45.710 CU. M. 1,614.221 CU. FT.
TOTAL:		7,521.170 KGS. 16,581.342 LBS.	1,614.221 CU. FT. 45.710 cu. m.

PLACE AND DATE OF ISSUE

05-JUNE-2022

SHIPPED ON BOARD DATE

05-JUNE-2022SIGNED By MSC (USA) Inc. as Agent on behalf of the Carrier
MSC Mediterranean Shipping Company S.A.

EXHIBIT E



MEDITERRANEAN SHIPPING COMPANY (USA) Inc.

Mediterranean Shipping Company (USA) Inc.
8240 NW 52nd Terrace Suite 201
Miami, FL 33166
USA

US038-HelpMeImport@msc.com

AS AGENTS FOR: MEDITERRANEAN SHIPPING CO.

Seaway Bill

ARRIVAL NOTICE

VESSEL NAME		VOYAGE No.	Estimated Arrival Date
A			
B	MSC INES	225A	7/20/2022
FLAG REGISTRY		BILL OF LADING No.	PRINT DATE
A			
B	Panama	MEDUI0745188	7/14/2022

In the case of a transshipment the second-line vessel (b) is U.S. final discharge.

ORIGIN LOCATION	PORT OF LOADING	PORT OF DISCHARGE	FINAL DESTINATION	No. Cont.	No. Pkgs.	WEIGHT (Kgs.)	MEASURE(Cbm)
	JAKARTA, JAVA	SEATTLE		1	589	7,521	45.71
IT INFORMATION IT LOCATION: FIRMS CODE: CARGO DESCRIPTION 589 CTNS OF : PAPER PACKAG ING PRSOF22002 INV 188 N.W : 7,033.26 KGS * TAX ID : 05.000 TEL N O : +62 21 252 0443 FAX NO : +62 21 252 0388 ** MIAMI FL 33172 USA PHO:+1 305 4 77 9595 FAX:+1 305 477 979 5 TAX NO. 3095 CONTAINER NUMBER MSCU5526756-40DV FJ14308949 Chassis Number * PORT OF DISCHARGE LOCATION TERMINAL 5 Terminal 5 3443 West Marginal way Seattle, WA 98106 Firms Code: Y400				SHIPPER PT. DACHSER INDONESIA (REGIONAL HEAD OFFICE) Palma One Building 2nd Floor, RM 201 JL. HR. Rasuna Said Kav.X2 No.4 Jakarta Selatan, JK 12050 CONSIGNEE DACHSER USA AIR & SEA LOGISTICS INC. NOTIFY DACHSER USA AIR & SEA LOGISTICS INC. 8861 NW 18th Terrace Suite 120 Miami, Florida 33172 FREIGHT AND CHARGES Congestion Surcharge [no eMC] COLLECT 1,000.00 USD			
Please ensure your trucking company assigns the SCAC code on the terminal website - www.tideworks.com				TOTALS: 1,000.00 USD			

Last Free Day (LFD) is now available on www.mysc.com Please visit our improved website available 24/7!

MSC expressly reserves its rights to invoice to the Merchant any Storage, Detention & Demurrage costs accrued over the applicable free time and resulting from the extraordinary disorders currently experienced at destination in the on-carriage of cargo to final place of delivery.

NOTE: Please contact Local Port Agent for instructions regarding the return of the empty equipment

ALL COLLECT CHARGES AND ORIGINAL B/L IF REQUIRED MUST BE SURRENDERED PRIOR TO RELEASE OF CARGO ; PERSONAL CHECKS ARE NOT ACCEPTED

EXHIBIT F



Mediterranean Shipping Company (USA) Inc.
As agent for MSC Mediterranean Shipping Company S.A., Geneva

Printed: 8/12/2022 - 2:19:57PM

420 5th Avenue New York, NY 10018
PH: (212) 764-4800 Fax: (212) 764-6599

FREIGHT INVOICE

Page 1 of 1

Invoice Number : MEDUI0745188
 BOL Number : MEDUI0745188
 Booking Number(s):
 Arrival Date : 20-Jul-2022
 Due Date: 8/4/2022

Vessel/ Voyage : MSC INES 225A
 Place of Receipt :
 Port of loading : Jakarta, Java
 Port of discharge : Seattle
 Place of delivery :

Bill To: DACHSER USA AIR & SEA LOGISTICS INC
 8861 NW 18TH TERRACE
 Miami, FL, 33172

REFERENCE #:

PARTICULARS FURNISHED BY SHIPPER "CARRIER HAS NO MEANS TO VERIFY CORRECTNESS"

CONTAINER NUMBER	CNTR TYPE	PKGS	H.M.	DESCRIPTION OF PACKAGES AND GOODS	GROSS WEIGHT	MEASUREMENT
MSCU5526756 FJ14308949	40' DRY VAN			589 CTNS OF : PAPER PACKAG ING PRSOF22002 INV 188 N.W : 7,033.26 KGS * TAX ID : [REDACTED] 5.000 TEL N O : +62 21 252 0443 FAX NO : +62 21 252 0388 ** MIAMI FL 33172 USA PHO:+1 305 4 77 9595 FAX:+1 305 477 979 5 TAX NO. [REDACTED] 3095	7,521.17 kgs. 16,581.34 lbs.	45.71 cu. m. 1,614.22 cu. ft.
(HAZARDOUS MERCHANDISE TO BE MARKED WITH AN ASTERISK)						

These commodities, technology or software were exported from the U.S. in accordance with the export administration regulations. Diversion contrary to U.S. law prohibited

For ACH Payments:

Beneficiary: MSC
 JP Morgan Chase Bank
 Account # [REDACTED] 1139
 ABA 021000021
 Swift CHASUS33

FREIGHT & CHARGES	Unit	Unit Rate	Amount	Type	Paid At	Exch Rate
* Congestion Surcharge [no eMC]	1	USD 1,000.00	USD 1,000.00	C		
Total			USD 1,000.00			

(*) = Local charges

ACH Payment allocation:

Mail to:
US038-ACHPaymentsNewYork@msc.com

Please list each bill of lading number paid and its amount.
 Kindly detail **payer name** and **grand total amount paid** with the ACH in the email's subject.

Telex release issued in USA:

Please note that a local service charge of \$50.00 applies.

CHS2207786309I

EXHIBIT G

8861 NW 18Th Terrace, STE 120
Miami, FL 33172, USA

dachser.miami-asl@dachser.com

--- ARCHIVE DUPLICATE ---

DACHSER USA Air & Sea Logistics, Inc., Miami, FL 33172

Jokki Labs LLC
5130 N Bay Rd
Miami FL 33130

Our VAT REG no. [REDACTED] 3095	Your VAT REG no.
Clerk Ms. Susana Cristin	
E-Mail susana.cristin@dachser.com	
Phone +1305477-9595	Fax +1305477-9795

INVOICE

Page 1

Invoice No. 3856026742	Customer No. 46764948	Date 2022-07-18
Service Date 2022-07-20	Our Reference 38500033317	Your Reference nm
Incoterm CFR	Shipper PT Glopac Indonesia, ID - Bekasi	Importer Jokki Labs LLC, US - Miami
Port of Loading ID JKT 2022-06-05	Port of Discharge US SEA 2022-07-20	H B/L No. 74930016095
M B/L No. MEDUI0745188	Vessel MSC INES	Voyage Number SE219R, FJ218E, UK225A

Product Information

FCL: MSCU5526756 / 40' Standard / 589 Pieces / 7521.170 kg / 45.710 cbm

No.	Charge Code	Basis 1	Basis 2	Amount USD	Tax
1521	Documentation fee destination			85.00	A
1720	Courier / GSE			25.00	A
5830	Additional container fee <i>congestion surcharges by carrier MSC as per out lay</i>			1,000.00	A
1980	Homeland Security Fee			25.00	A
Sub Total				1,135.00	

Tax	Net USD	% VAT	Code	Tax USD	Gross Total	Texts
A	1,135.00	0.000	02	0.00	1,135.00	T01
Total Amount					1,135.00	

01: without VAT - these services are not taxable in our country

Please take note of the next page

Checks payable to	DACHSER USA Air & Sea Logistics Inc. P.O. Box 5806, Carol Stream, IL 60197-5806
Bank Details	Deutsche Bank, Acct#: [REDACTED] 0685, ABA#: 021001033, NY 10005 BIC: BKTRUS33

A 3% LATE FEE PER MONTH AND \$77 ADMINISTRATIVE CHARGE WILL BE INVOICED ON ALL PAST DUE AMOUNTS.

DACHSER USA Air & Sea Logistics Inc. has a policy against payment, solicitation, or receipt of any rebate, directly or indirectly, which would be unlawful under the United States Shipping Act of 1984.

Importer must furnish documents within the period of time as required by customs regulations to avoid customs penalties.

If you are the Importer of Record, payment to the broker will not relieve you of liability for Customs charges in the event the charges are not paid by the broker. Therefore, if you pay by check, Customs charges may be paid with a separate check payable to the "U.S. Bureau of Customs and Border Protection".

All business is undertaken as per terms and conditions of service approved by the National Customs Brokers & Forwarders Association of America, Inc. (Revised 10/15, available at dachser.com/us/en/General-Terms-Conditions_315.htm).

8861 NW 18Th Terrace, STE 120
Miami, FL 33172, USA

dachser.miami-asl@dachser.com

--- ARCHIVE DUPLICATE ---

INVOICE**Page 2**

Invoice No. 3856026742	Customer No. 46764948	Date 2022-07-18
----------------------------------	---------------------------------	---------------------------

Term of Payment

Invoice amount payable by 2022-08-17

Please send Remit Detail for ACH/Bank Wire payments to: Cashap.USA-ASL@dachser.com

Checks payable to	DACHSER USA Air & Sea Logistics Inc. P.O. Box 5806, Carol Stream, IL 60197-5806
Bank Details	Deutsche Bank, Acct#: [REDACTED] 0685, ABA#: 021001033, NY 10005 BIC: BKTRUS33

A 3% LATE FEE PER MONTH AND \$77 ADMINISTRATIVE CHARGE WILL BE INVOICED ON ALL PAST DUE AMOUNTS.

DACHSER USA Air & Sea Logistics Inc. has a policy against payment, solicitation, or receipt of any rebate, directly or indirectly, which would be unlawful under the United States Shipping Act of 1984.

Importer must furnish documents within the period of time as required by customs regulations to avoid customs penalties.

If you are the Importer of Record, payment to the broker will not relieve you of liability for Customs charges in the event the charges are not paid by the broker. Therefore, if you pay by check, Customs charges may be paid with a separate check payable to the "U.S. Bureau of Customs and Border Protection".

All business is undertaken as per terms and conditions of service approved by the National Customs Brokers & Forwarders Association of America, Inc. (Revised 10/15, available at dachser.com/us/en/General-Terms-Conditions_315.htm).

EXHIBIT H

Chung, Wook

From: Shadrack Scheirman <sscheirman@fmc.gov>
Sent: Wednesday, September 7, 2022 11:01 AM
To: Chung, Wook
Cc: DeOrchis, Vincent M.; Kielland, Kaspar
Subject: RE: Charge Complaint 2022004

****CAUTION** External Email**

Good Morning Mr. Chung,

Typically, we do not offer extensions as part of the charge complaint process, as they are designed to be a “prompt” investigation; however, given the fact that this is a new process for everyone and in effort to facilitate an amicable resolution your request for an extension till September 26, 2022 is granted.

The point of contact for the complainant in this case is Mr. Brandon Leeds of SOFi Paper Products, brandon@sofipaperproducts.com, 516-672-3959.

As you are no doubt aware, we are still formalizing the procedures for charge complaints, but at this time we treating it as an informal investigation. Thus we encourage, but do not require, parties to copy each other on correspondence throughout the process.

Please let me know if you have any additional questions or concerns.

Sincerely,

Shadrack L. Scheirman
Area Representative | Federal Maritime Commission
Seattle-Tacoma Office | P.O. Box 7841 | Tacoma, WA 98417
Tel (253) 922-7622 | Cell (206) 595-6456
www.fmc.gov | sscheirman@fmc.gov

From: Chung, Wook <WChung@mmwr.com>
Sent: Tuesday, September 6, 2022 2:56 PM
To: Shadrack Scheirman <sscheirman@fmc.gov>
Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: Charge Complaint 2022004

Dear Mr. Scheirman,

My name is Wook Chung, an attorney at Montgomery McCracken. We are the attorneys for Mediterranean Shipping Company (USA) Inc. (“MSC or “the Client”) in the subject matter.

We have been very recently retained by the Client for this matter. And we would like to request a fifteen (15) day extension in this case (ie. the new response deadline will be September 26, 2022/Monday). We believe that this extension will allow us and the Client to thoughtfully and in good faith review the issues at hand, and try to amicably resolve the subject matter.

Lastly, we do not have the contact information of the Dachser USA Air & Sea Logistics Inc. ("the Complainant"). So, we could not copy anyone from the Complainant side in this email. Please advise if you would be able to share the contact information of the Complainant so that we may try to reach out to them. And, procedurally, please advise if you would require any email communications from us to you to also copy in the Complainant.

We thank you for your time and understanding, Mr. Scheirman.

Regards,

Wook Chung



Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

437 Madison Avenue | New York, NY 10022

Tel: 212-867-9500 | Dir: 212-551-7795 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)

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EXHIBIT I

Chung, Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>
Sent: Friday, September 23, 2022 4:44 PM
To: Chung, Wook
Cc: DeOrchis, Vincent M.; Kielland, Kaspar
Subject: Re: Charge Complaint 2022004
Attachments: 31F994C1 (1).PDF; HPSCAN_20220718204706974_2022-07-18_204754534 (1).pdf

****CAUTION** External Email**

Wook,

Thank you for reaching out earlier. Dascher has provided me with the arrival notice that shows the charges as collect on arrival from MSC. Please advise.

Best,
Brandon

On Thu, Sep 22, 2022 at 9:29 AM Chung, Wook <WChung@mmwr.com> wrote:

*** WITHOUT PREJUDICE ***

To: SOFi Paper Products

From: Montgomery McCracken Walker & Rhoads, LLP

Re: FMC Charge Complaint 2022004

Dear Mr. Leeds,

Dear Mr. Leeds,

My name is Wook Chung, an attorney at Montgomery McCracken. We have been retained by Mediterranean Shipping Company (USA) Inc. ("MSC or "the Client") to represent its interest in the subject matter.

We are in receipt of the Charge Complaint that Sofi Paper Products LLC ("you" or "SOFi") has filed with FMC on or about August 11, 2022, against our Client. While our Client is willing and ready to review and resolve this matter fairly and amicably, we would like to understand this case better before we can recommend to our Client how to best proceed and/or resolve this matter. For this purpose, we would like to first ask some questions –

1. Did you submit any related formal detention/ demurrage claim to MSC?
 - a. If you did, could you please share the same communication and any other documents/information you have provided to MSC?
2. We understand you are SOFi Paper Products LLC. But we also understand that the applicable Bill of Lading and the associated invoice(s) have been issued to Dachser USA Air & Sea Logistics Inc. ("Dachser").
 - a. Can you please briefly explain your understanding of the relationship between SOFi and Dachser, if any?
3. Can you also please briefly advise what your claim is against MSC?
 - a. What is your claim amount?
 - b. Can you please explain the basis of your claim for such a claim amount?

Lastly, I had tried to call you (516-672-3959?) but without success. Can you please confirm your contact information? And please let me know if you would be available today, tomorrow, or Monday for a quick telephone conference with me.

We write this letter to you without any prejudice preserving all rights and privileges.

We thank you for your time and attention in this matter, Mr. Leeds. We look forward to hearing from you soon.

Regards,

Wook Chung



Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

437 Madison Avenue | New York, NY 10022

Tel: 212-867-9500 | Dir: 212-551-7795 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)

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EXHIBIT J

Chung, Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>

Sent: Friday, October 7, 2022 9:38 AM

To: Chung, Wook <WChung@mmwr.com>

Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: Re: Charge Complaint 2022004 -

****CAUTION** External Email**

Wook,

Thank you for the offer. We would settle for the full amount of \$1000.

On Thu, Oct 6, 2022 at 10:15 PM Chung, Wook <WChung@mmwr.com> wrote:

**** SETTLEMENT PURPOSE ONLY ****

**** WITHOUT PREJUDICE ****

Dear Mr. Leeds,

Please be advised that the Client would like to resolve this matter by offering \$350.00.

If you are agreeable, please execute the settlement agreement and return the scanned copy (pdf) to us.

1

This settlement offer will be withdrawn automatically if we do not receive your signed document by **October 10, 2022, 10 AM (EST) (Monday)**. We will then report and respond to FMC and seek FMC to dismiss the case.

Please be guided accordingly.

Thank you.

Wook

Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

Tel: 212-867-9500 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)



EXHIBIT K

Chung, Wook

From: Chung, Wook
Sent: Monday, October 10, 2022 4:28 PM
To: Shadrack Scheirman
Cc: Brandon Leeds; DeOrchis, Vincent M.; Kielland, Kaspar
Subject: RE: Charge Complaint 2022004 - (SOFI v. MSC)
Attachments: FW: MSC DAILY ANNOUNCEMENTS ; FW: MSC DAILY ANNOUNCEMENTS ; CGS MESU032 (1).pdf; Dascher - CGS Recipients

***** WITHOUT PREJUDICE *****

Dear Mr. Scheirman,

As you know from our previous communications, we represent the respondent, Mediterranean Shipping Company (USA) Inc. ("MSC"), in the Charge Complaint referenced above. The representative of SOFI Paper Products LLC ("SOFI"), Mr. Brandon Leeds, is reading in copy. We also attach relevant documents and emails we had previously provided to SOFI.

We write to report that the Parties have NOT been able to resolve this matter amicably. For the record, I had made several attempts (calls and emails), on behalf of MSC, to explain to SOFI that the congestion surcharge ("CGS") at issue is proper. We tried to explain to SOFI/Mr. Leeds that MSC had duly and timely announced the CGS in 2021 and sent the same to Dachser Air & Sea Logistics ("Dachser"), an NVOCC that was the carrier of record with SOFI as Dachser's direct customer. Notwithstanding the situation, to avoid the time and expenses of the FMC proceeding, we offered a partial refund to SOFI to settle this matter. However, SOFI rejected the offer and responded that they "would settle for the full amount of \$1,000." SOFI also said they would like to "resolve this matter through FMC."

The attached documents supporting MSC's position show that on or about September and October of 2021, MSC sent the CGS announcements to its customers, including Dachser. At this time, it is not clear about Dachser's billing practices and its terms of service with SOFI. We also note that SOFI/Mr. Leeds advised me (over a telephone conference) that his objection to the said \$1,000 charge is that the CGS was sent to them at the last minute after the shipment had arrived. SOFI/Mr. Leeds said that Dachser held his cargo as a hostage and demanded the payment of \$1,000. But, the timing of the invoicing, where MSC had duly announced the CGS as early as October of 2021, should not be held against MSC because Dachser knew or should have known about the said CGS and should have duly addressed and resolved this matter with SOFI without involving MSC.

We also have service contract between MSC and Dachser (DBA Kingwood Logistics) Contract Number 22-251TPC, in which clearly mentioned the congestion charge. Because there are many unrelated rates information in the said service contract, we ask for your permission to send you the service contract in a different email without SOFI in copy.

Under the circumstances, we look forward to your good guidance and recommendations on how we should respond and resolve this case.

Thank you.

Respectfully submitted,

Wook Chung



Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

437 Madison Avenue | New York, NY 10022

Tel: 212-867-9500 | Dir: 212-551-7795 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)

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-----Original Message-----

From: Shadrack Scheirman <sscheirman@fmc.gov>

Sent: Monday, September 26, 2022 10:34 AM

To: Chung, Wook <WChung@mmwr.com>

Cc: Brandon Leeds <brandon@sofipaperproducts.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: RE: Charge Complaint 2022004 - second extension request

****CAUTION**** External Email

Good Morning Mr. Wook,

I am doing well, thank you for asking. How are you?

Your request for an extension to respond to my letter of August 11, 2022 until October 10, 2022 is granted. However, please bear in mind that the purpose of the charge complaint process is compliance as well as the settlement of individual disputes, and extensions are not typically granted. Additionally, parties may continue settle negotiations while providing documentation to the Commission. Even after MSC submits their response to the carrier inquiry letter of August 11, 2022, the parties may request that the FMC discontinue the charge complaint process by providing proof of refund, cancellation of the disputed invoice, or some other documentation indicating a settlement agreement.

Respectfully,

Shad

Shadrack L. Scheirman

Area Representative | Federal Maritime Commission Seattle-Tacoma Office | P.O. Box 7841 | Tacoma, WA 98417 Tel (253) 922-7622 | Cell (206) 595-6456

https://linkprotect.cudasvc.com/url?a=https%3a%2f%2fwww.fmc.gov&c=E,1,CIP00S5QE06OrMMbdP7EUNAaRUjA35hOztTis785bBD60XwTp1TFr63Xtm-iffzNmLAggYjyJX156-jSbra_GPFQP0MijdmkoiMUgoMpWISjU,&typo=1 | sscheirman@fmc.gov

-----Original Message-----

From: Chung, Wook <WChung@mmwr.com>

Sent: Friday, September 23, 2022 7:59 PM

To: Shadrack Scheirman <sscheirman@fmc.gov>

Cc: Brandon Leeds <brandon@sofipaperproducts.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: Re: Charge Complaint 2022004 - second extension request

Dear Mr. Scheirman,

How are you, sir?

Please note that regarding the subject matter, SOFi/Mr. Leeds (in copy) and MSC/counsels for MSC are engaging in a discussion and are planning to exchange relevant documents and information with the goal of amicable resolution of this matter.

We would like to jointly request for more time for the Parties to do so.

Please advise if we can have until October 10th, 2022 for our formal response. We are hopeful that the Parties will be able to resolve this matter before then, barring any unexpected events.

Thank you.

Respectfully,

Wook Chung
Attorney for MSC (USA) Inc.

EXHIBIT L

Chung, Wook

From: Shadrack Scheirman <sscheirman@fmc.gov>
Sent: Thursday, October 20, 2022 9:50 AM
To: Brandon Leeds
Cc: Chung, Wook; DeOrchis, Vincent M.; Kielland, Kaspar
Subject: RE: Charge Complaint 2022004 - (SOFI v. MSC)

****CAUTION** External Email**

Good Morning Mr. Leeds,

I will be following up with an additional information request for MSC shortly. I appreciate your patience as we are working out the details of this new process.

Sincerely,
Shad

Shadrack L. Scheirman
Area Representative | Federal Maritime Commission
Seattle-Tacoma Office | P.O. Box 7841 | Tacoma, WA 98417
Tel (253) 922-7622 | Cell (206) 595-6456
www.fmc.gov | sscheirman@fmc.gov

From: Brandon Leeds <brandon@sofipaperproducts.com>
Sent: Wednesday, October 19, 2022 10:29 AM
To: Shadrack Scheirman <sscheirman@fmc.gov>
Cc: Chung, Wook <WChung@mmwr.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: Re: Charge Complaint 2022004 - (SOFI v. MSC)

Hi Shadrack,

Can you provide an update on this? Thank you for the help.

Best,
Brandon

On Tue, Oct 11, 2022 at 7:37 PM Shadrack Scheirman <sscheirman@fmc.gov> wrote:

Good Afternoon Mr. Chung,

I have received your email sent on October 10, 2022. Please be advised I am unable to open the attachments to the file entitled "Dascher – CGS Recipients" dated September 27, 2022.

You are welcome to send copies of the relevant service contract without SOFI in copy if you wish it to be considered at this time.

Thank you for your assistance.

Shadrack L. Scheirman

Area Representative | Federal Maritime Commission

Seattle-Tacoma Office | P.O. Box 7841 | Tacoma, WA 98417

Tel (253) 922-7622 | Cell (206) 595-6456

www.fmc.gov | sscheirman@fmc.gov

From: Chung, Wook <WChung@mmwr.com>

Sent: Monday, October 10, 2022 1:28 PM

To: Shadrack Scheirman <sscheirman@fmc.gov>

Cc: Brandon Leeds <brandon@sofipaperproducts.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: RE: Charge Complaint 2022004 - (SOFI v. MSC)

***** WITHOUT PREJUDICE *****

Dear Mr. Scheirman,

As you know from our previous communications, we represent the respondent, Mediterranean Shipping Company (USA) Inc. ("MSC"), in the Charge Complaint referenced above. The representative of SOFi Paper Products LLC ("SOFI"), Mr. Brandon Leeds, is reading in copy. We also attach relevant documents and emails we had previously provided to SOFI.

We write to report that the Parties have NOT been able to resolve this matter amicably. For the record, I had made several attempts (calls and emails), on behalf of MSC, to explain to SOFI that the congestion surcharge ("CGS") at issue is proper. We tried to explain to SOFI/Mr. Leeds that MSC had duly and timely announced the CGS in 2021 and sent the same to Dachser Air & Sea Logistics ("Dachser"), an NVOCC that was the carrier of record with SOFI as Dachser's direct customer. Notwithstanding the situation, to avoid the time and expenses of the FMC proceeding, we offered a partial refund to SOFI to settle this matter. However, SOFI rejected the offer and responded that they "would settle for the full amount of \$1,000." SOFI also said they would like to "resolve this matter through FMC."

The attached documents supporting MSC's position show that on or about September and October of 2021, MSC sent the CGS announcements to its customers, including Dachser. At this time, it is not clear about Dachser's billing practices and its terms of service with SOFI. We also note that SOFI/Mr. Leeds advised me (over a telephone conference) that his objection to the said \$1,000 charge is that the CGS was sent to them at the last minute after the shipment had arrived. SOFI/Mr. Leeds said that Dachser held his cargo as a hostage and demanded the payment of \$1,000. But, the timing of the invoicing, where MSC had duly announced the CGS as early as October of 2021, should not be held against MSC because Dachser knew or should have known about the said CGS and should have duly addressed and resolved this matter with SOFI without involving MSC.

We also have service contract between MSC and Dachser (DBA Kingwood Logistics) Contract Number 22-251TPC, in which clearly mentioned the congestion charge. Because there are many unrelated rates information in the said service contract, we ask for your permission to send you the service contract in a different email without SOFI in copy.

Under the circumstances, we look forward to your good guidance and recommendations on how we should respond and resolve this case.

Thank you.

Respectfully submitted,

Wook Chung



Wook Chung | Partner
Montgomery McCracken Walker & Rhoads LLP
437 Madison Avenue | New York, NY 10022
Tel: 212-867-9500 | Dir: 212-551-7795 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)

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EXHIBIT M

Chung, Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>

Sent: Tuesday, November 22, 2022 6:20 PM

To: Chung, Wook <WChung@mmwr.com>

Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: Re: Charge Complaint 2022004 - (SOFI v. MSC)

****CAUTION** External Email**

Hello Wook,

I have been well. I hope you are doing well too.

Regarding the matter at hand, I appreciate you willing to offer a full refund. That being said, given our company time spent on this and time without the money, I feel it is appropriate to settle for an additional \$500.

It is my understanding this case is being escalated up the ranks to hopefully create a precedent for future cases.

Best,
Brandon

On Fri, Nov 18, 2022 at 10:35 AM Chung, Wook <WChung@mmwr.com> wrote:

Dear Mr. Leeds,

How are you? It has been a while.

Our client has agreed to give you the full refund. As per its protocol, we attach the settlement agreement for your review and execution.

Please send us the W9 as well.

Thank you.

Regards,

Wook

Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

Tel: 212-867-9500 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)



EXHIBIT N

From: Chung, Wook <WChung@mmwr.com>
Sent: Monday, November 28, 2022 8:31 PM
To: Shadrack Scheirman <sscheirman@fmc.gov>
Cc: Brandon Leeds <brandon@sofipaperproducts.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: RE: Charge Complaint 2022004 - (SOFI v. MSC)

Dear Mr. Scheirman,
I hope you had a good Thanksgiving week.
Would you be able to kindly provide any guidance in this matter?

Thank you.

Wook

From: Chung, Wook
Sent: Wednesday, November 23, 2022 12:01 AM
To: Shadrack Scheirman <sscheirman@fmc.gov>
Cc: Brandon Leeds <brandon@sofipaperproducts.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: FW: Charge Complaint 2022004 - (SOFI v. MSC)

Dear Mr. Scheirman,
First, we are copying Mr. Leeds of SOFi Paper Products LLC. in this email.
As you can see below, we offered a full refund of \$1,000, the same amount that SOFi claimed in its Charge Complaint 2022004.
However, as you can see below, without any justifiable reasons, Mr. Leeds is now asking us to pay him/his company \$1,500.
We respectfully opine that this is bad faith and blatant abuse of FMC process. Further, this kind of practice will set a terrible precedent and put the entire FMC charge complaint process in question. While we understand that you decided to escalate the situation, we want to bring this matter to your attention and ask for any help and comment you can give in this matter.

Thank you.

Respectfully,

Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>
Sent: Tuesday, November 22, 2022 6:20 PM
To: Chung, Wook <WChung@mmwr.com>
Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: Re: Charge Complaint 2022004 - (SOFI v. MSC)

****CAUTION**** External Email

Hello Wook,

I have been well. I hope you are doing well too.

Regarding the matter at hand, I appreciate you willing to offer a full refund. That being said, given our company time spent on this and time without the money, I feel it is appropriate to settle for an additional \$500.

It is my understanding this case is being escalated up the ranks to hopefully create a precedent for future cases.

Best,
Brandon

On Fri, Nov 18, 2022 at 10:35 AM Chung, Wook <WChung@mmwr.com> wrote:

Dear Mr. Leeds,

How are you? It has been a while.

Our client has agreed to give you the full refund. As per its protocol, we attach the settlement agreement for your review and execution.

Please send us the W9 as well.

Thank you.

Regards,

Wook

EXHIBIT O

From: Shadrack Scheirman <sscheirman@fmc.gov>

Sent: Tuesday, November 29, 2022 12:58 PM

To: Brandon Leeds <brandon@sofipaperproducts.com>; Chung, Wook <WChung@mmwr.com>; BOE <BOE@FMC.gov>

Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: RE: FW: Charge Complaint 2022004 - (SOFI v. MSC)

****CAUTION** External Email**

Dear Mr. Chung and Mr. Leeds,

My apologies for the delayed response. Thank you for contacting me regarding Charge Complaint 20220004. I am forwarding your emails to the Office of Enforcement at BOE@fmc.com as your case is currently pending there.

My hope is that you and yours had a happy Thanksgiving.

Sincerely,
Shad

Shadrack L. Scheirman
Area Representative | Federal Maritime Commission
Seattle-Tacoma Office | P.O. Box 7841 | Tacoma, WA 98417
Tel (253) 922-7622 | Cell (206) 595-6456
www.fmc.gov | sscheirman@fmc.gov

EXHIBIT P

Montgomery McCracken Walker & Rhoads LLP1735 Market Street
21st Floor
Philadelphia, PA 19103-7505

Citizens Bank, N.A. - PA

Check Number: 52008

3-7615/360

Date: 02/13/2023

PAY EXACTLY: One Thousand and 00/100 Dollar(s)

\$1,000.00**

PAY
TO THE
ORDER OF**SOFI Paper Products LLC**
13727 SW 152nd Street
(PMB 3722)
Miami, FL 33177

397811

Payee: **SOFI Paper Products LLC**
Vendor ID: **28079.01**Check #: **52008**
Check Date: **02/13/2023**

Montgomery McCracken Walker & Rhoads LLP

Invoice #	Invoice Date	Description	Amount
2/13/23	02/13/2023	Full Refund of Claim	\$1,000.00



MEDITERRANEAN SHIPPING COMPANY (USA) INC.

420 Fifth Avenue
New York, NY 10018
Phone (212) 764 - 4800 Fax (212) 827 - 1639

www.msc.com

February 13, 2023

SOFI Paper Products LLC
Attn.: Mr. Brandon Leeds
13727 SW 152nd Street
(PMB 3722)
Miami, Florida 33177

Dear Mr. Leeds,

Please find the enclosed check that represents the full refund of the claim that you filed in the Charging Complaint 2022004 against our Company, Mediterranean Shipping Company, S.A., with the Federal Maritime Commission.

The refund check from our attorneys has been sent as original to the following address: 13727 SW 152nd St., PMB 3722, Miami, FL 33177. A copy of this letter and of the refund check has been sent to 5130 N. Bay Rd., Miami Beach, Florida, 33140.

Sincerely yours,

A handwritten signature in black ink, appearing to read 'Nicholas Hargreaves'.

Nicholas Hargreaves
General Manager, Legal Department
Mediterranean Shipping Company (U.S.A.) Inc

*package id*

0081732

ship date

Mon, Feb 13 2023

to

Brandon Leeds
 SOFI Paper Products LLC
 13727 SW 152nd Street
 PMB 3722
 Miami, FL 33177
 United States
 212 867 9500

residential address

No

return label

No

notification type

Delivery

notification recipients

wchung@mmwr.com
 skennedy@mmwr.com

from

Wook Chung (07897)
 Montgomery McCracken
 437 Madison Avenue
 23rd Floor
 New York, NY 10022
 US

billing

MSC Mediterranean Sh...ny
 SA.Charge Complaint
 Inq...(FMC)
 (70439.00004)

operator

Kathleen Murphy
 212-551-7741
 kmurphy@mmwr.com

create time

02/13/23, 1:08PM

vendor

FedEx

tracking number

394561799962

service

FedEx Standard
 Overnight®

packaging

FedEx® Envelope

signature

Deliver Without Signature

courtesy quote

31.66

Quote may not reflect all
 accessorial charges

EXHIBIT Q



February 23, 2023

Dear Customer,

The following is the proof-of-delivery for tracking number: 394561799962

Delivery Information:

Status:	Delivered	Delivered To:	Shipping/Receiving
Signed for by:	A.TORRES	Delivery Location:	13727 SW 152ND ST
Service type:	FedEx Standard Overnight		
Special Handling:	Deliver Weekday; No Signature Required		Miami, FL, 33177
		Delivery date:	Feb 14, 2023 12:53

Shipping Information:

Tracking number:	394561799962	Ship Date:	Feb 13, 2023
		Weight:	0.5 LB/0.23 KG

Recipient:
Brandon Leeds, SOFI Paper Products LLC
13727 SW 152nd Street
PMB 3722
Miami, FL, US, 33177

Shipper:
Wook Chung, Montgomery McCracken
437 Madison Avenue
23rd Floor
New York, NY, US, 10022

Reference

70439-00004



Thank you for choosing FedEx

EXHIBIT R

Chung, Wook

From: Chung, Wook
Sent: Tuesday, September 27, 2022 8:15 PM
To: brandon@sofipaperproducts.com
Subject: Charge Complaint 2022004 - second extension request
Attachments: FW: MSC DAILY ANNOUNCEMENTS ; FW: MSC DAILY ANNOUNCEMENTS ; Dascher - CGS Recipients ; CGS MESU032 (1).pdf

Dear Mr. Leeds,

Please see the attached communications (October 2021) from our client, MSC, to all its registered customers, including Dachser. We also attach the tariff terms for your reference. As you can see, the said tariff terms have been in place since May 2022 - including the \$1,000 congestion surcharge that would apply to your shipment from Jakarta to Seattle. Also, in the attached records, you can see that MSC sent these announcements of the congestion surcharge to Dachser via its marketing software. You can see the recipient at Dascher that got these announcements.

To us, there exist clear and sufficient proofs that our client, MSC, had duly notified Dachser of this congestion surcharge. In short, Dachser knew or should have known about the \$1,000 congestion surcharge at issue at the time of your booking in or around June 2022.

While we share your frustration, as shared over the phone, this congestion surcharge was not applied in bad faith or without any notice, nor was it our client's fault that you were billed for this at the last minute.

Would you agree with our assessment of this case? If so, can you please either confirm to me that you agree to dismiss the case or directly notify the FMC of your intention to withdraw your claim?

Let me know if you have any questions or comments, Mr. Leeds.

We look forward to hearing from you soon.

regards,

Wook

EXHIBIT S

Chung, Wook

From: Chung, Wook
Sent: Wednesday, September 28, 2022 8:17 PM
To: brandon@sofipaperproducts.com
Cc: DeOrchis, Vincent M.; Kielland, Kaspar
Subject: RE: Charge Complaint 2022004 - second extension request
Attachments: EBKG03256105.PDF

Dear Mr. Leeds,
I'm just following up on your response.

I am also attaching the booking notes that our client issued to Dachser. You will see that the associated terms and conditions, mainly Paragraphs 4 and 9, provide the contractual basis for applying all relevant tariff charges.

Please let me know if you would withdraw your claim in this case.

I believe you can email the FMC contact (Mr. Shadrack Scheirman / sscheirman@fmc.gov) and let them know of your intention to withdraw your case in satisfaction with the information we provided.

Thank you for your time and assistance, Mr. Leeds.

Wook

From: Chung, Wook <WChung@mmwr.com>
Sent: Tuesday, September 27, 2022 8:15 PM
To: brandon@sofipaperproducts.com
Subject: Charge Complaint 2022004 - second extension request

Dear Mr. Leeds,

Please see the attached communications (October 2021) from our client, MSC, to all its registered customers, including Dachser. We also attach the tariff terms for your reference. As you can see, the said tariff terms have been in place since May 2022 - including the \$1,000 congestion surcharge that would apply to your shipment from Jakarta to Seattle. Also, in the attached records, you can see that MSC sent these announcements of the congestion surcharge to Dachser via its marketing software. You can see the recipient at Dascher that got these announcements.

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While we share your frustration, as shared over the phone, this congestion surcharge was not applied in bad faith or without any notice, nor was it our client's fault that you were billed for this at the last minute.

Would you agree with our assessment of this case? If so, can you please either confirm to me that you agree to dismiss the case or directly notify the FMC of your intention to withdraw your claim?

Let me know if you have any questions or comments, Mr. Leeds.

We look forward to hearing from you soon.

regards,

Wook

EXHIBIT T

Chung, Wook

From: Chung, Wook
Sent: Thursday, September 29, 2022 10:16 PM
To: Brandon Leeds
Cc: DeOrchis, Vincent M.; Kielland, Kaspar
Subject: Re: Charge Complaint 2022004 - second extension request

Dear Brandon,

The tariff has been in place since October 2021.

The May 2022 tariff was sent to you to show you that the congestion surcharge was in place in May when the booking was made for SOFi.

The Paragraph 9 of the Bill of Lading was a reference to you to show you that broad surcharge clauses are communicated to Dachser when SOFi's booking was made with our Client.

Please let us know how you want to proceed.

Thank you.

Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>
Sent: Thursday, September 29, 2022 12:09 PM
To: Chung, Wook <WChung@mmwr.com>
Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: Re: Charge Complaint 2022004 - second extension request

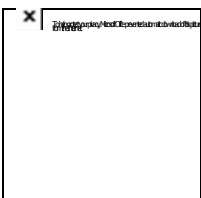
****CAUTION** External Email**

Wook,

We are still reviewing the documents as we understand there should be a 30-day notice before the tariffs are effective. Additionally, paragraph 9 mentions "The Carrier may be required to collect the extra charges on behalf of the local authorities." Are you saying the government brought on these charges?

Best,
Brandon

sofistraws.com



On Wed, Sep 28, 2022 at 8:17 PM Chung, Wook <WChung@mmwr.com> wrote:

Dear Mr. Leeds,
I'm just following up on your response.

I am also attaching the booking notes that our client issued to Dachser. You will see that the associated terms and conditions, mainly Paragraphs 4 and 9, provide the contractual basis for applying all relevant tariff charges.

Please let me know if you would withdraw your claim in this case.

I believe you can email the FMC contact (Mr. Shadrack Scheirman / sscheirman@fmc.gov) and let them know of your intention to withdraw your case in satisfaction with the information we provided.

Thank you for your time and assistance, Mr. Leeds.

Wook

From: Chung, Wook <WChung@mmwr.com>
Sent: Tuesday, September 27, 2022 8:15 PM
To: brandon@sofipaperproducts.com
Subject: Charge Complaint 2022004 - second extension request

Dear Mr. Leeds,

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While we share your frustration, as shared over the phone, this congestion surcharge was not applied in bad faith or without any notice, nor was it our client's fault that you were billed for this at the last minute.

Would you agree with our assessment of this case? If so, can you please either confirm to me that you agree to dismiss the case or directly notify the FMC of your intention to withdraw your claim?

Let me know if you have any questions or comments, Mr. Leeds.

We look forward to hearing from you soon.

regards,

Wook

EXHIBIT U

Chung, Wook

From: nicholas.fiore@msc.com
Sent: Tuesday, September 27, 2022 9:45 AM
To: paolo.magnani@msc.com
Subject: FW: MSC DAILY ANNOUNCEMENTS

See below for original CGS announcement sent on 9/13/2021

Nicholas Fiore
Marketing Analyst

MSC MEDITERRANEAN SHIPPING COMPANY (USA) INC.
420 Fifth Avenue, 4th Floor, New York, NY, 10018 USA
T: +1 917 671 6187 **W:** www.msc.com
As agent for MSC Mediterranean Shipping Company S.A., Geneva



**YOUR PEACE OF MIND
IS OUR JOB**
CHOOSE MSC EXTENDED PROTECTION



Sensitivity: Internal

From: US038-
Marketing DL
Sent: Monday,
September 13, 2021
4:03 PM
To: US038-MSC (USA)
Offices <US038-

MSCUSAOFFICES@msc.com>

Subject: MSC DAILY ANNOUNCEMENTS

Kindly note the below announcement has been distributed to all the customers who have subscribed to our customer notification system.

To keep up with the latest news, services updates, offers and other key updates on MSC, please advise our customers to visit and register directly.



Dear Colleagues,

Please take note of the announcements below:

THC - TERMINAL HANDLING CHARGE (PANAMA)

SCOPE: USA TO CENTRAL AMERICA; CENTRAL AMERICA TO USA

Effective October 3rd, 2021

We hereby inform you of the increase in the Terminal Handling Charges (THC) in **Cristobal and Rodman** with effective date October 3rd, 2021.

CRISTOBAL:

SCOPE	CURRENT AMOUNT	NEW AMOUNT
USA to Central America (DRY)	US\$225.00 (per container)	US\$235.00 (per container)
Central America to USA (DRY)	US\$225.00 (per container)	US\$235.00 (per container)
USA to Central America (REEFER)	US\$250.00 (per container)	US\$260.00 (per container)
Central America to USA (REEFER)	US\$250.00 (per container)	US\$260.00 (per container)

RODMAN:

SCOPE	CURRENT AMOUNT	NEW AMOUNT
USA to Central America (REEFER)	US\$250.00 (per container)	US\$260.00 (per container)
Central America to USA (REEFER)	US\$250.00 (per container)	US\$260.00 (per container)

GRI - General Rate Increase

SCOPE: USA TO VENEZUELA

Effective October 13, 2021

Please be advised MSC Mediterranean Shipping Company Co. (USA) Inc has filled and will implement a **GRI** with below quantum, scope, and effective date for all DRY and REEFER containers from all USA ports to Puerto Cabello and La Guaira.

- 1000 USD per TEU (Dry and Reefer);
- SCOPE: USA to Venezuela

Ocean Freight Increase

SCOPE: SAVANNAH TO GTBE

Effective October 13th, 2021

This is to inform you that **effective October 13, 2021**, the **Ocean Freight** for Dry containers for your **GTBE** agreement will increase as per the following:

From	To	Rate Adjustment
Savannah	Greece & Turkey, Black Sea, East Med	\$100/TEU

Your source of rate will be updated accordingly.

CGS – Congestion Surcharge UPDATE

SCOPE: FAR EAST TO USA AND CANADA

Effective October 15th, 2021

Further to our **Congestion Surcharge (CGS)** announcement of July 30th, 2021, please note that MSC decided to postpone the implementation of the CGS increase, applicable for cargo discharging on the West Coast (local and IPI cargo), to October 15th, 2021

As a result:

The GCS amounts currently applicable to all cargo from Far East to the USA and Canada since **August 19th**, 2021 gate-in date at origin, will remain into effect as follows:

- USD 800/20'DV
- USD 1000/40'DV
- USD 1125/40'HC
- USD 1266/45'

Effective **October 15th**, 2021 gate-in date at origin, the CGS amounts for cargo from Far East discharging on the West Coast (local and IPI cargo) will be modified as follows:

- USD 2400/20'DV
- USD 3000/40'DV
- USD 3375/40'HC
- USD 3798/45'

Above CGS amounts apply to both reefer and dry cargo.



Sensitivity: Internal

Recipient activity

Ocean Freight Increase: SAVANNAH TO GTBE, CGS: : Far East to USA and Canada, GRI: USA TO VENEZUELA, THC:I AMERICA; CENTRAL AMERICA TO USA – Sent on Sep 13, 2021

Snapshot

DACHSER



Recipient activity

Link activity & overlay

All 6

Opened 1

Not opened 5

Clicked 0

Unsubscribed 0

Worldview

6 results found

Bounce summary

Opens & clicks

Email

Name

Social sharing

renee.paulhill@dachser.com

Renee Paulhill

Email client usage

dianne.morani@dachser.com

Dianne Morani

louis.wo@dachser.com

Louis Wo

jennifer.lee@dachser.com

Jennifer Lee

sebastian.wulff@dachser.com

Sebastian Wulff

angela.goldfein@dachser.com

angela goldfein

EXHIBIT V

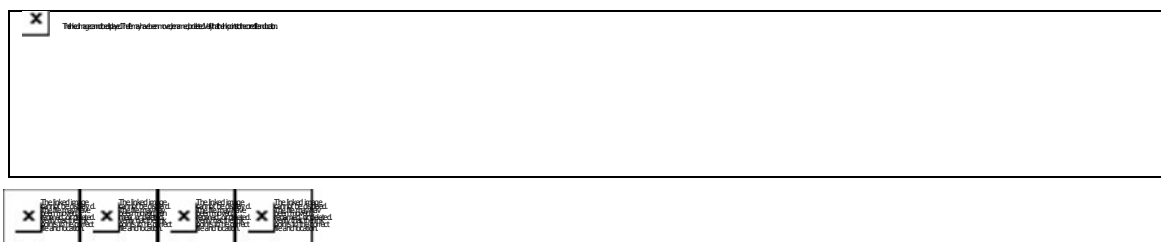
Chung, Wook

From: nicholas.fiore@msc.com
Sent: Tuesday, September 27, 2022 9:45 AM
To: paolo.magnani@msc.com
Subject: FW: MSC DAILY ANNOUNCEMENTS
Attachments: image001.jpg; image002.jpg; image003.jpg; image004.jpg; image005.jpg

See below for updated CGS announcement sent on 10/12/2021

Nicholas Fiore
Marketing Analyst

MSC MEDITERRANEAN SHIPPING COMPANY (USA) INC.
420 Fifth Avenue, 4th Floor, New York, NY, 10018 USA
T: +1 917 671 6187 **W:** www.msc.com
As agent for MSC Mediterranean Shipping Company S.A., Geneva



Sensitivity: Internal

From: US038-Marketing DL
Sent: Tuesday, October 12, 2021 4:01 PM
To: US038-MSC (USA) Offices <US038-MSCUSAOFFICES@msc.com>
Subject: MSC DAILY ANNOUNCEMENTS

Kindly note the below announcement has been distributed to all the customers who have subscribed to our customer notification system.

To keep up with the latest news, services updates, offers and other key updates on MSC, please advise our customers to visit and register directly.



Dear Colleagues,

Please take note of the announcements below:

CGS – Congestion Surcharge UPDATE

SCOPE: Far East to USA and Canada

Further to our Congestion Surcharge (CGS) announcement of September 13th, 2021, please note that MSC decided to **postpone** until further notice the implementation of the CGS increase, applicable for cargo discharging on the West Coast (local and IPI cargo).

As a result:

The GCS amounts currently applicable to all cargo from Far East to the USA and Canada since August 19th, 2021 gate-in date at origin, will remain into effect as follows:

- USD 800/20'DV
- USD 1000/40'DV
- USD 1125/40'HC
- USD 1266/45'

Above CGS amounts apply to both reefer and dry cargo.



www.msc.com

Recipient activity

CGS Update: Far East to USA and Canada – Sent on Oct 12, 2021

Snapshot

DACHSER



Recipient activity

Link activity & overlay

All 5

Opened 1

Not opened 3

Clicked 0

Unsubscribed 0

Worldview

5 results found

Bounce summary

Opens & clicks

Social sharing

Email client usage

Email

Name

renee.paulhill@dachser.com

Renee Paulhill

louis.wo@dachser.com

Louis Wo

jennifer.lee@dachser.com

Jennifer Lee

sebastian.wulff@dachser.com

Sebastian Wulff

angela.goldfein@dachser.com

angela goldfein

APPENDIX I

“Petition”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

.....
Docket No. CC-001
.....

MEDITERRANEAN SHIPPING COMPANY - INVESTIGATION FOR COMPLIANCE WITH
§§ 41104(a) AND 41102 OF DEMURRAGE OR DETENTION CHARGES UNDER THE
CHARGE COMPLAINT PROCEDURES OF 46 U.S.C. § 41310
.....

**MEDITERRANEAN SHIPPING COMPANY S.A.
PETITION TO DISMISS
THE CHARGE COMPLAINT AND THE ORDER TO SHOW CAUSE**

Pursuant to 46 C.F.R. §502.69, Respondent Mediterranean Shipping Company S.A. (“MSC” or “Respondent”) hereby petitions for an order dismissing with prejudice the Charge Complaint No. 001¹ and the related Order Directing MSC to Show Cause dated February 3, 2023 (“Order”) in their entirety. (“Petition”). A Memorandum of Law and the Declaration of Wook Chung are submitted herewith in support of MSC’s Petition.

Respondent reserves all rights and defenses it might have in opposition to the Order. Respondent further respectfully requests that since this Petition is dispositive of the Order, the deadline to respond to the Order, currently set for February 28, 2023, be extended to after 10 days from the Commission’s decision on the Petition pursuant to 46 C.F.R. § 502.62(b)(1) and 46 C.F.R. § 502.63.²

¹ Originally SOFi Paper Products LLC’s Charge Complaint 2022004.

² The Charge Complaint Proceeding is a novel one, and Respondent is aware that there is no specific provision for extension. However, the provisions for extension of time, as the one requested by Respondent, are provided in similar procedural postures under 46 C.F.R. § 502.62(b)(1) and 46 C.F.R. § 502.63 and should be applicable by analogy, in light of same, or similar case precedents in other FMC matters.

MEMORANDUM OF LAW IN SUPPORT OF PETITION TO DISMISS

MSC petitions to dismiss the Charge Complaint and the Order on the ground that MSC refunded in full the amount that was subject to claimant's, SOFi Paper Products LLC ("SOFi"), Charging Complaint. MSC, via its attorneys, couriered the check for the full refund to the Claimant's mailing address. The check has been acknowledged by FedEx as having been delivered to the address set forth by Claimant with the Secretary of State of Florida as its "mailing address".

STATEMENT OF MATERIAL FACTS

1. On or about August 11, 2022, MSC (USA) Inc. received a Charging Complaint number 2022004 ("Claim") filed by SOFi involving Bill of Lading MEDUI0745188 dated July 14, 2022. (Chung Declaration ¶ 4).
2. MSC retained Montgomery McCracken Walker Rhoads LLP at its attorneys ("MSC Attorneys") to contact the Claimant, review the Claim, and try to amicably resolve the Claim, if deemed appropriate. (Chung Declaration ¶ 5).
3. Between September of 2022 and October of 2022, Mr. Leeds, President of SOFi ("Leeds") and Wook Chung, one of the MSC Attorneys ("Chung"), exchanged several emails and telephone communications to discuss the amicable resolution of the Claim that involved the refund of a surcharge SOFi paid to its freight forwarder. (Chung Declaration ¶ 6).
4. On or about October 6, 2022, with the authority from MSC, Chung sent an email to Leeds offering a \$350.00 refund in full settlement of the Claim. (Chung Declaration ¶ 7; Exhibit A to Chung Declaration).
5. On or about October 7, 2022, Leeds replied via an email to Chung stating that "*we would settle for the full amount of \$1,000.*" (Chung Declaration ¶ 8; Exhibit A to Chung Declaration).

6. On or about November 14, 2022, the FMC's regional officer in charge of the Claim sent a notice to MSC stating that *"this case has been forwarded to the Commission's Office of Enforcement to pursue further action."* The same notice also stated that *"... parties are encouraged to continue efforts to settle disputes privately and may request that the FMC discontinue the charge complaint process at any time, by providing proof of refund, cancellation of the disputed invoice, or some other documentation of the settlement agreement to the Office of Enforcement."* (Chung Declaration ¶ 9).
7. After discussing the circumstances of the Claim with MSC, on or about November 18, 2022, Chung sent an email to Leeds accepting that MSC would "settle for the full amount of \$1000" according to Claimant's counteroffer that Claimant never withdrew. (Chung Declaration ¶ 10; Exhibit B to Chung Declaration). MSC took steps to perform the necessary paperwork to pay out the refund.
8. On or about November 22, 2022, after MSC had already agreed to Claimant's settlement offer by agreeing to make a full refund, Leeds replied to Chung stating that *"given our company time spent on this and time without the money, I feel it is appropriate to settle for an additional \$500."* (Chung Declaration ¶ 11; Exhibit B to Chung Declaration). The email did not have an invoice for the \$500 attached, nor did it clarify how the \$500 was calculated besides stating that the new and additional claim was for *"time without the money"*.
9. On or about November 23, 2022, and November 28, 2022, MSC Attorneys notified the FMC's regional officer in charge of the Claim that an offer of full refund had been made – *based on Claimant's own settlement demands*. The notice also specified that the Claimant was now seeking additional monies. MSC sought assistance of the FMC's regional office

- to resolve the Claim amicably. (Chung Declaration ¶ 12; Exhibit C to Chung Declaration).
10. On or about November 29, 2022, the FMC officer replied that he was forwarding [MSC's] emails to the Office of Enforcement at BOE@fmc.com because the "case is currently pending there." (Chung Declaration ¶ 13; Exhibit D to Chung Declaration).
11. On or about February 3, 2023, FMC served the Order on MSC. (Chung Declaration ¶ 14)
12. On or about February 13, 2023, MSC, through its counsel, mailed the check for the full refund of \$1,000 to the SOFi's mailing address listed with the Florida Secretary of State, and copies were sent to two other addresses also listed on the Secretary of State's website. (Chung Declaration ¶ 15; Exhibit E to Chung Declaration).
13. The original check addressed to the formal "mailing address" of SOFI, as listed by the Secretary of State of Florida, was confirmed received by the Claimant as per FedEx's delivery record. (Chung Declaration ¶ 16; Exhibit F to Chung Declaration).

LAW

A. The Commission's Rule 12 Standard

46 C.F.R. § 502.12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in such cases. *See, e.g., The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, Docket No. 06-02, 2007 WL 2468431 (F.M.C. Aug. 2, 2007).

B. Formation of a Settlement Contract

Disputes involving settlement agreements are governed by contract principles. *See Tiburzi v. Dep't of Justice*, 269 F.3d 1346, 1351 (Fed.Cir.2001) (“It is ‘axiomatic that a settlement agreement is a contract.’”) (Internal citations and quotation marks omitted).

“The manifestation of mutual assent to an exchange ordinarily takes the form of an offer or proposal by one party followed by an acceptance by the other party or parties.” *Anderson v. United States*, 344 F.3d 1343, 1353 (Fed. Cir. 2003) quoting the Restatement (Second) of Contracts § 22(1) (1979).

“A reply to an offer which purports to accept it but is conditional on the offeror's assent to terms additional to or different from those offered is not an acceptance but is a counter-offer.” *First Com. Corp. v. United States*, 335 F.3d 1373, 1381 (Fed. Cir. 2003) quoting the Restatement (Second) of Contracts § 59 (1979).

In particular, in the context of a settlement agreement, “where a party's response to an offered settlement agreement makes ‘edits’ or changes to the offer proposed by the other party, the responding party has ‘essentially made a counter-offer.’” *Great Lakes Commc'n Corp. v. AT&T Corp.*, 124 F. Supp. 3d 824, 849 (N.D. Iowa 2015). *See also Etablissement Asamar Ltd. v. Lone Eagle Shipping Ltd.*, 882 F. Supp. 1409, 1411 (S.D.N.Y. 1995).

An offer that does not specify a time for acceptance is to be considered to be open open for a reasonable time unless sooner revoked. *See Etablissement Asamar Ltd.*, 882 F. Supp. at 1411 (S.D.N.Y. 1995).

MSC unconditionally accepted Claimant’s offer to settle for the full amount of \$1000 in this case.

C. Dismissal for Mootness

Federal courts lack jurisdiction to decide moot cases because their constitutional authority extends only to actual cases or controversies.” *Larsen v. U.S. Navy*, 525 F.3d 1, 4 (D.C.Cir.2008) (quotation marks omitted). A case is moot when “the challenged conduct ceases such that there is no reasonable expectation that the wrong will be repeated” in circumstances where “it becomes impossible for the court to grant any effectual relief whatever to the prevailing party.” *City of Erie v. Pap's A.M.*, 529 U.S. 277, 287, 120 S.Ct. 1382, 146 L.Ed.2d 265 (2000).

D. FMC Rules on Disputed Charges

FMC’s policies and procedures, as well as its Charging Complaint guidelines and related interim procedures (including “Frequently Asked Questions” on FMC’s website), have always expressly endorsed and encouraged the ocean carriers to make refund or agree to waive such a claimed amount as way to resolve such claims.

Under the rules of Ocean Shipping Reform Act of 2022 (“OSRA 2022”) and the guidelines of Federal Maritime Commission (“FMC”), the common carrier can voluntarily elect to refund any payment to the shipper or complaining party while the matter is being investigated or at any stage prior to the Commission’s decision.

Guidance on Charge Complaint Interim Procedure

FREQUENTLY ASKED QUESTIONS

Q: Can the common carrier settle/voluntarily refund or withdraw the disputed fee or charge?

*A: Yes. The common carrier can voluntarily elect to refund (or waive) any payment to the shipper or complaining party while the matter is being investigated **or at any stage prior to the Commission’s decision**. The common carrier’s issuance of a refund or waiver of the charge in dispute will result in the closure of the complaint and no additional Charge Complaint action will be taken. (emphasis supplied).*

(Reference: <https://www.fmc.gov/osra-2022-implementation/charge-complaint-interim-procedure/>).

ARGUMENT

1. A VALID SETTLEMENT WAS REACHED BETWEEN THE PARTIES

MSC respectfully submits that this case involves a full refund, and not a “settlement” which contemplates an amount less than 100%. To the extent that the FMC may perceive this case as a “settlement” between the parties, MSC takes the position that MSC and SOFi entered into a valid settlement agreement as of November 18, 2022, when Chung sent SOFi an email unconditionally accepting SOFi’s \$1,000 settlement offer.

The parties’ exchanges that led to the formation of the settlement agreement can be summarized as follows. MSC presented an initial settlement offer for \$350 on October 6, 2022. SOFi rejected that offer on October 7, 2022 and stated that SOFi would “settle for the full amount of \$1000”. That email constituted a counteroffer as it contained a conditioned assent by SOFi to settling with MSC. The condition in this case was MSC accepting a different material term of the settlement: a payment increase from \$350 to \$1,000. MSC then unconditionally accepted SOFi’s counteroffer on November 18, 2022 when Chung emailed back SOFi accepting to settle for the full \$1,000 amount. SOFi’s October 6, 2022 offer did not contain a term for its acceptance, nor was ever revoked by SOFi prior to MSC’s unconditional acceptance. When an offer doesn’t specify a timeframe for its acceptance it will remain open for a reasonable time unless revoked. *Etablissement Asamar Ltd.*, 882 F. Supp. at 1411 (S.D.N.Y. 1995). Courts have held that a two-month delay between offer and acceptance constitutes a reasonable time to communicate an acceptance. MSC accepted SOFi’s offer 42 days after the offer was made which is fully within the reasonable term. As such, the settlement between MSC and SOFi was perfected on November 18 and the dispute should be considered resolved from that date.

Had MSC refused to pay the \$1000 after accepting Claimant's demand to settle for \$1000, under the horn-book law cited above, Claimant would have been entitled to sue on the settlement agreement and to recover from MSC the unpaid amount. There is no reason under the law why the Claimant is not equally bound by the agreement. SOFi's sudden attack of "buyer's remorse" after being told by MSC that it would provide a full refund, and its new demand for \$1500 in hopes that it could recover even more money than it claimed, is not a legal defense to an agreed settlement - and should not be condoned by the FMC if the FMC seeks to pursue its public policy of amicable settlements between the parties.

2. THE FMC SHOULD APPROVE THIS SETTLEMENT

The Commission has long recognized that the law strongly favors settlements. *A.P. Moller-Maersk Line Possible Violations of Sections 10(b)(1), 10(b)(2), and 10(b)(4) of the Shipping Act of 1984*, 1999 WL 462920, at *1. This has led the Commission to develop "a strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid". *HUAL AS v. Puerto Rico Ports Authority*, 2003 WL 22113978, at *3 (internal citations omitted). *See also World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing, A.k.a. Johnny Yu - Possible Violations of Section 10 of the Shipping Act of 1984*, 2010 WL 2175399, at *3 and *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)). Rather than substituting its judgment to the parties, the Commission undertakes a relatively limited role when it comes to scrutinizing settlements. *See P.R. Shipping Ass'n v. P.R. Ports Auth.*, 27 S.R.R. 645, 647 (ALJ 1996). In fact, "[i]f a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of

settlements, the settlement will probably pass muster and receive approval. *HUAL AS v. Puerto Rico Ports Authority*, 2003 WL 22113978, at *3.

When it comes to this specific dispute, the initial notice of Charging Complaint 2022004 (dated August 11, 2022) from the FMC to MSC also stated that -

“Please note, parties are encouraged to privately settle disputes and may request that the Commission discontinue the charge complaint process at any time with the consent of both parties, and by providing to the assigned Area Representative, proof of refund, cancellation of the disputed invoice, or some other documentation indicating a settlement agreement.”

And even in the final notice sent by the FMC regional officer to MSC (dated November 14, 2022), updating MSC that the subject case has been forwarded to Office to Enforcement, the FMC continued to encourage the ocean carrier to make the refund as a way to resolve the claim.

“Please note, parties are encouraged to continue efforts to settle disputes privately and may request that the FMC discontinue the charge complaint process at any time, by providing proof of refund, cancellation of the disputed invoice, or some other documentation of the settlement agreement to the Office of Enforcement.”

Such a guidance and encouragement for the Respondent to offer the full refund or waiver of the charges that are being claimed as the disputed amounts are consistent with the FMC Commission’s longstanding policy of encouraging settlements and applies presumptions favoring a finding that the terms are fair, correct and valid.

Given the settlement achieved between the parties and the long-standing policy of the FMC of approving settlements and consequently terminating the corresponding action pending, MSC respectfully requests that the Commission dismiss the Order.

3. CLAIMANT HAS RECEIVED A FULL REFUND

When MSC made the full refund of the charges as demanded by the Claimant,³ MSC satisfied that demand by the Claimant in compliance with the requirements and guidelines set by the FMC to settle a disputed fee or charge. As the FAQ section of the FMC's website explains, the action by the carrier can be voluntary and there is no requirement that the complaining party accept the refund. Claimant's last minute additional request of \$500 on top of the full refund is unjustified, irrelevant and, most importantly, insufficient to maintain in existence a justiciable controversy. Claimants has never indicated that its actual claim for congestion charges exceeded \$1,000.

MSC's refund payment to SOFi of the entire amount of the charges previously claimed incurred by SOFi, prior to any decision by the FMC, constitutes a full satisfaction of SOFi's rights under 46 U.S.C. § 41310 *et seq.* and no further demand can be made by SOFi to MSC pursuant to the facts of this case.

It is black letter law that, in absence of a justiciable controversy, a dispute should be dismissed for lack of subject matter jurisdiction and mootness. Notwithstanding the fact that the Order has ignored that MSC had already presented an offer of full refund to SOFi, the fact remains that MSC delivered a check for the full refund of \$1,000 to the Claimant at its office. Therefore, there is no congestion charge dispute left to be examined by the FMC. It is submitted that from the moment MSC's full refund check to SOFi was acknowledged as received by the Claimant through FedEx, the Order and the furtherance of these proceedings were rendered moot.

³ It should be noted that sending the funds to the Claimant was complicated and delayed by the fact that the Claimant's address was not included in any of the documents provided to MSC, and consequently we had to go through the Secretary of State's office of Florida to get an address.

Once the Respondent offered and tendered a refund check for the full amount of the Claim to Claimant, the intended purpose of the Charge Complaint has been satisfied. Therefore, since MSC did deliver a refund check in the amount of \$1,000 to Claimant, and that delivery was confirmed, there is no longer a case or controversy under the Charge Complaint for the original claim of congestion surcharge. Claimant has never provided an invoice to show that its claim exceeded \$1000. The original claim by SOFi is moot as is clearly provided under the FMC own guidelines. (See Section D. FMC Rules on Disputed Charges *Supra*). At best, what remains is a new claim for \$500, unsupported by invoices or documents, and raised only on November 22, 2022 (almost 4 months after the original charge complaint was filed) in an effort to recover for “loss of use of money”. Claimant has never argued that is overpayment due to congestion charges were more than \$1000.

4. THE ORDER TO SHOW CAUSE IS UNLAWFUL

On or about December 1, 2022, the FMC issued an announcement indicating that the new procedure for dealing with charge complaints would be for the FMC’s Bureau of Enforcement to “recommend that the Commission – the five Commissioners as a body – issue an ‘Order to Show Cause’ to the common carrier under 46 C.F.R. Section 502.91 to formally adjudicate the Charge Complaint.” This announcement was not a regulation and was adopted without notice and comment rulemaking therefore it is not legally binding. While the general public/industry should be allowed to rely on the guidelines issued by a government especially when there exists insufficient rules and regulations on any given subject matter, the government, in accordance with the principles of ‘due process’, is expected to base its enforcement actions on more concrete rules and procedures. “Agencies may impose legally binding requirements on the public only through regulations and on parties on a case-by-case basis through adjudications, and only after appropriate

process, except as authorized by law or as incorporated into a contract.” Executive Order 13891 of October 9, 2019 (Executive Order 13891 of October 9, 2019, Promoting the Rule of Law Through Improved Agency Guidance Documents.

Prior to the December 1 announcement, there were limited guidelines about the Charge Complaint. The only key guideline to the claimants concerned how to file the claim by including the invoices related to the “disputed charges”. The guidelines did not mention anything regarding the entitlement for a claimant to modify the amount of its claim. Certainly, the guidelines did not provide for a claimant who was offered a full refund to be allowed to present a new claim on the alleged grounds that it had “time spent on this and time without the money”. The key point is that the parties in this dispute were led by the FMC’s own guidelines which encourage the parties to a dispute to resolve it amicably. Specifically, the carrier is directed to seek a settlement by refunding (or waiving) the disputed charges. That is exactly what MSC has done.

Even, assuming arguendo, that the announced procedure of converting charge complaints into Orders to Show Cause is considered lawful, it is legally improper to apply the procedure announced on December 1 to a charge complaint filed in August, almost four months prior to the adoption of the new procedure.

An Order to Show Cause, by its nature, places the burden of proof on the respondent, in this case MSC. This is inconsistent with 46 U.S.C. §41310(b)(2), which shifts the burden of proof to demonstrate reasonableness only with respect to demurrage and detention charges. The congestion surcharge herein at issue is not a “detention” or “demurrage” charge within the meaning of 46 C.F.R. §545.5(b). By shifting the burden of proof to MSC in this proceeding the FMC is acting contrary to the statute.

Under 46 U.S.C. §41109(a), the Commission may assess a civil penalty only after giving notice and providing an opportunity for hearing. By issuing an Order to Show Cause and setting the deadline for a response in the manner it has, the Commission is denying MSC due process by denying MSC the ability to conduct discovery and thus denying an adequate opportunity for a hearing.

5. INTEGRITY OF THE CHARGING COMPLAINT PROCESS MUST BE PROTECTED.

The Charging Complaint process and procedure set out and guided by the FMC meant to provide stability and effectiveness to bring and resolve the claims brought under such process. The integrity of this process must be enforced in ways that will motivate the involved parties to trust the process and engage in the review and resolution process in good faith. In the event that the offer of full refund of the claimed amount is made, the FMC should consider the claims to have been resolved and closed without taking any further action(s).

If the FMC allows a claimant to demand an arbitrary or unjustified additional payment, based on a different claim, after being offered for the full amount (i.e., refund or waiver) of its congestion charge claim, the entire Charging Complaint process will be undermined. There will be no motivation for either party to settle, as a settlement payment does not bring the proceeding to an end.

Denying MSC's Petition to dismiss this case will set a bad precedent, discourage settlements, and put the integrity of Charging Complaint case in question.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons Respondent respectfully petitions that it be dismissed from the proceeding for lack of subject matter jurisdiction due to the claim being moot.

Dated: February 23, 2023

Respectfully submitted,

/s/Vincent M. DeOrchis

/s/Wook Chung

/s/Kaspar Kielland

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Attorneys for Respondent

Mediterranean Shipping Company S.A.

CERTIFICATE OF SERVICE

I certify that on the 24th day of February 2023, a true and correct copy of the foregoing Petition to Dismiss and Declaration of Wook Chung in Support of Petition to Dismiss were served by email on all counsel of record in accordance with 46 CFR Part 502.

/s/Kaspar Kielland
Kaspar Kielland

FEDERAL MARITIME COMMISSION
Office of the Secretary
secretary@fmc.gov

OFFICE OF ENFORCEMENT, BUREAU OF ENFORCEMENT,
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**BEFORE THE
FEDERAL MARITIME COMMISSION**

.....
Docket No. CC-001
.....

MEDITERRANEAN SHIPPING COMPANY - INVESTIGATION FOR COMPLIANCE WITH
§§ 41104(a) AND 41102 OF DEMURRAGE OR DETENTION CHARGES UNDER THE
CHARGE COMPLAINT PROCEDURES OF 46 U.S.C. § 41310
.....

**DECLARATION OF WOOK CHUNG IN SUPPORT OF
MEDITERRANEAN SHIPPING COMPANY S.A.
PETITION TO DISMISS
THE CHARGE COMPLAINT AND THE ORDER TO SHOW CAUSE**

I, WOOK CHUNG, declare as follows:

1. I am a partner with the law firm Montgomery, McCracken, Walker and Rhoads LLP.
2. I submit this Declaration on behalf of my client, Mediterranean Shipping Company S.A. (“MSC”), in support to MSC’s Petition to Dismiss the Charge Complaint and Order to Show Cause dated February 3, 2023 (“Petition”).
3. I am fully familiar with the fact set forth herein.
4. On or about August 11, 2022, Mediterranean Shipping Company (USA) Inc., received a Charging Complaint number 2022004 (“Claim”) filed by SOFi Paper Products LLC (“SOFi”) involving Bill of Lading MEDUI0745188 dated July 14, 2022.
5. MSC retained Montgomery McCracken Walker Rhoads LLP as its attorneys (“MSC Attorneys”) to contact the Complainant, review the Claim, and try to amicably resolve the Claim, if deemed appropriate.
6. Between September of 2022 and October of 2022, Mr. Leeds, President of SOFi (“Leeds”)

and I, as one of the MSC Attorneys, exchanged several emails and telephone communications to discuss and amicable resolution of the Claim. The only claim we were aware of and discussed was SOFi's request to obtain a refund of the \$1,000 surcharges it paid to its freight forwarding company.

7. On or about October 6, 2022, with the authority from MSC, I sent an email to Leeds offering \$350.00 in full settlement of that Claim. (See Oct. 6-7 email exchange attached hereto as Exhibit A).

8. On or about October 7, 2022, Leeds replied to my email stating that "*we would settle for the full amount of \$1,000.*" (See Oct. 6-7 email exchange attached hereto as Exhibit A).

9. On or about November 14, 2022, the FMC's regional officer in charge of the Claim sent a notice to MSC stating that "*this case has been forwarded to the Commission's Office of Enforcement to pursue further action.*" The same notice also stated that "... parties are encouraged to continue efforts to settle disputes privately and may request that the FMC discontinue the charge complaint process at any time, by providing proof of refund, cancellation of the disputed invoice, or some other documentation of the settlement agreement to the Office of Enforcement."

10. After reviewing the circumstances of the claim with MSC, on or about November 18, 2022, I sent an email to Leeds confirming that MSC would "settle for the full amount of \$1000" so as to refund the total amount claimed according to Claimant's statement. (See Nov. 18-22 email exchange attached hereto as Exhibit B). Soon thereafter, I instructed MSC to perform the necessary paperwork to refund the amount of \$1000 to Claimant.

11. On or about November 22, 2022, Leeds replied to my email and stated that "*given our company time spent on this and time without the money, I feel it is appropriate to settle for an*

additional \$500.” (See Nov. 18-22 email exchange attached hereto as Exhibit B). There were no supports or invoices or explanation for the \$500.

12. On or about November 23, 2022 and also on or about November 28, 2022, MSC Attorneys notified the FMC’s regional officer in charge of the Claim that an offer of full refund had been made based on Claimant’s own settlement demand. The notice also specified that the Claimant was now seeking additional monies. MSC sought the assistance of the FMC’s regional officer to resolve the Claim amicably. (See Nov. 23 – Nov. 29 email exchange attached hereto as Exhibit C).

13. On or about November 29, 2022, the FMC officer replied that he was forwarding [MSC’s] emails to the Office of Enforcement at BOE@fmc.com because the “case is currently pending there.” (See Nov. 29 email attached hereto as Exhibit D).

14. On or about February 3, 2023, FMC served the Order to Show Cause on MSC.

15. On or about February 13, 2023, after some delay in trying to locate the offices of the Claimant, MSC, through its counsel, mailed a check for the full refund of \$1,000 to the SOFi’s mailing address listed with the Florida Secretary of State¹. (See check and FedEx shipping receipt attached hereto as Exhibit E). Copies of the correspondence were sent via regular mail to two other addresses also listed on the Secretary of State’s website.

16. The original check addressed to the formal “mailing address” of SOFI, as listed by the Secretary of State of Florida, was confirmed received by FedEx. (See FedEx delivery receipt attached hereto – as Exhibit F).

¹ See

<https://search.sunbiz.org/Inquiry/CorporationSearch/SearchResultDetail?inquirytype=EntityName&directionType=Initial&searchNameOrder=SOFIPAPERPRODUCTS%20M190000078620&aggregateId=forl-m19000007862-897fe79e-ba80-4d6c-87ba-c633e35db4c7&searchTerm=SOFI%20Aper&listNameOrder=SOFIPAPERPRODUCTS%20M190000078620>

I declare under penalty of perjury that the foregoing is true and correct to the best of my knowledge.

Executed this 23rd day of February 2023, in New York, New York.

A handwritten signature in cursive script, appearing to read 'Wook Chung', written in black ink.

WOOK CHUNG